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Investor Presentation | Japan

Factory Automation: Compelling Long-term Growth: Reiterate Overweight on Keyence, Equal-weight on SMC & Fanuc

Chip making equipment is poised as a near-term driver for the industry, while the automotive field offers upside further out. Physical AI is becoming a more compelling long-term growth theme for the factory automation (FA) industry, with wafer fabrication equipment the clearest near-term driver. As fabs push toward more advanced nodes and larger memory supply, we see increasing demand for automation tools used in high-tech equipment. With our forecasts calling for WFE growth of 31% YoY in 2026 and 28% YoY in 2027, we see a visible earnings tailwind for the industry. Autos remain a slower moving opportunity but could gradually regain momentum as model development cycles shorten and see further progress in electrification/software-defined vehicles.

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FACTORY AUTOMATION

Japan

Industry View

Attractive

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Factory Automation (Japan) - Industry View: Attractive

Chip making equipment is poised as a near-term driver for the industry, while the automotive field offers upside further out. Physical AI is becoming a more compelling long-term growth theme for the factory automation (FA) industry, with wafer fabrication equipment the clearest near-term driver. As fabs push toward more advanced nodes and larger memory supply, we see increasing demand for automation tools used in high-tech equipment. With our forecasts calling for WFE growth of 31% YoY in 2026 and 28% YoY in 2027, we see a visible earnings tailwind for the industry. Autos remain a slower moving opportunity but could gradually regain momentum as model development cycles shorten and see further progress in electrification/software-defined vehicles.

Keyence: OW PT ¥105,000.

PT is based on P/E of 39.5x, the average trading multiple for the past five years based on 1yr-fwd. consensus forecasts, applied to our F3/28 EPS estimate.

SMC: EW PT ¥86,000.

PT is derived from the stock's 3-yr average P/E of 23x based on 1yr-fwd. consensus forecasts, applied to our F3/28 EPS.

Fanuc: EW PT ¥7,300.

We base our PT on P/E of 30x, the 27x average multiple in the past three years based on 1yr-forward consensus forecasts, plus a 10% premium considering current expectations relating to physical AI.

F3/27 1Q Earnings Review

Keyence:

1Q OP was partly supported by yen weakness and tariff refunds. However, underlying sales growth also exceeded 20%, and the gross margin reached 85%. Historically, 1Q OP tends to be seasonally weaker in terms of profit levels. With 2Q marking the end of 1H, we expect profit growth QoQ. In addition, the company typically generates a larger share of profits in 2H than in 1H. We raise our earnings forecasts to reflect this trend. Management continues to discuss shareholder returns, and we believe there is a high likelihood that the company will announce share buybacks alongside F3/27 4Q results.

SMC:

1Q OP remained solid even excluding the ¥3.5bn tariff refund. Strong sales to the semiconductor sector, which accounted for roughly 20% of revenue in the previous year, continued to support earnings. July orders were also in line with the 1Q run rate, suggesting resilient demand. We raise our F3/27 and F3/28 EPS forecasts by 11% each. Electrical equipment sales tend to be more volatile in 1H, while expenses, which were relatively subdued in 1Q, could increase somewhat in 2H. As a result, our 2H profit assumptions remain more conservative. Overall, however, we view the business environment as favorable. In addition, the company maintains higher inventory levels than its peers. This should help preserve a stable shipment capability during periods of heightened concerns over component procurement, providing reassurance.

Fanuc:

1Q orders remained strong. However, sales fell short of order intake due to component shortages, and OP came in broadly in line with consensus expectations. Even so, the company raised its full-year OP guidance to a level only about 4% below consensus. While a full resolution of supply chain constraints appears unlikely in Jul-Sep, continued efforts to diversify suppliers and strengthen procurement should create opportunities for further earnings upside in 2H and support profit growth next year. Our view on the company's earnings growth trajectory remains largely unchanged. We have made only minor revisions to our forecasts and maintain our EW rating based on valuation considerations.

Global Valuation Comps

FactSet Ticker	Company	Country	Mkt. Cap. (\$mn)	OP Margin %				P/E				P/B				EV/EBITDA				Div. Yield	ROE	Morgan Stanley	
				F25	F26e	F27e	F28e	F25	F26e	F27e	F28e	F25	F26e	F27e	F28e	F25	F26e	F27e	F28e	F26e	F26e	Rating	Coverage Analyst
Robotics / Factory Automation				12.3%	14.2%	15.2%	14.6%	27.5	26.7	23.5	23.1	2.8	2.9	2.9	2.8	15.7	16.0	14.2	13.4	1.6%	12.2%		
Japan																							
6861-JP	Keyence	Japan	130,053	51.0%	53.8%	53.9%	53.9%	32.2	36.0	31.7	28.5	4.2	5.3	4.9	4.4	20.9	23.6	20.5	18.1	0.9%	14.9%	OW	Kitaura, Takeshi
6954-JP	Fanuc	Japan	40,210	21.4%	23.4%	24.5%	25.1%	29.7	30.2	26.6	24.4	2.7	3.2	3.2	3.2	18.1	19.2	17.1	15.9	2.3%	13.1%	EW	Kitaura, Takeshi
6273-JP	SMC	Japan	31,478	22.6%	24.8%	23.8%	23.5%	22.7	22.8	20.9	19.3	1.8	2.2	2.1	2.0	16.1	15.2	13.7	12.4	1.3%	11.2%	EW	Kitaura, Takeshi
6383-JP	Daifuku	Japan	14,705	15.3%	15.5%	15.6%	15.4%	24.1	27.6	26.3	26.9	4.0	4.9	4.7	4.6	14.7	16.7	15.8	15.6	1.3%	17.9%	EW	Jiang, Lisa
7012-JP	Kawasaki Heavy	Japan	14,863	6.3%	6.5%	7.4%	8.0%	22.4	21.2	17.1	14.6	2.8	2.3	2.0	1.8	11.6	9.6	8.3	7.3	1.7%	11.3%	EW	Kitaura, Takeshi
6506-JP	Yaskawa Electric	Japan	9,001	8.7%	11.6%	12.5%	12.0%	40.6	27.4	24.2	25.2	3.0	2.7	2.5	2.4	21.8	15.4	13.8	13.7	1.3%	10.2%	OW	Jiang, Lisa
6645-JP	Omron	Japan	8,919	7.8%	7.9%	8.7%	8.2%	30.6	36.0	25.7	27.6	1.0	1.6	1.5	1.5	11.3	13.6	12.6	13.2	1.6%	4.4%	UW	Jiang, Lisa
9962-JP	Misumi	Japan	6,635	10.8%	11.4%	12.0%	12.4%	17.4	22.4	20.2	19.2	1.8	2.6	2.6	2.6	8.9	11.4	10.1	9.3	1.6%	11.6%	OW	Jiang, Lisa
6407-JP	CKD	Japan	2,590	12.4%	14.8%	15.4%	13.8%	22.0	20.6	18.2	21.8	1.9	2.4	2.2	2.1	10.4	10.8	9.8	10.9	1.8%	12.2%	EW	Jiang, Lisa
6503-JP	Mitsubishi Electric	Japan	77,692	8.5%	10.2%	10.9%	11.5%	29.5	23.1	20.4	18.2	2.7	2.5	2.3	2.2	15.2	12.9	11.8	10.9	2.2%	10.8%	-	Not Covered
6724-JP	Seiko Epson	Japan	7,673	3.5%	6.3%	5.1%	5.7%	33.7	17.7	21.3	18.8	0.7	1.2	1.1	1.1	4.4	5.6	6.1	5.6	2.3%	6.8%	UW	Yamazaki, Mie
6622-JP	Daihen	Japan	2,107	7.9%	9.0%	9.6%	10.0%	21.4	19.2	15.5	13.7	1.5	1.9	1.7	1.6	12.2	11.5	9.3	8.0	1.7%	9.9%	OW	Hasegawa, Yoshihito
6474-JP	NACHI	Japan	895	3.7%	4.9%	5.3%	5.5%	24.5	17.3	14.5	13.6	0.7	0.7	0.7	0.7	5.2	5.7	5.6	5.3	2.7%	4.2%	-	Not Covered
Asia																							
1590-TW	Airtac	Taiwan	9,663	30.0%	34.2%	34.2%	34.4%	22.2	25.7	22.7	20.1	3.5	5.3	4.7	4.1	14.2	17.5	15.4	13.5	1.8%	21.8%	OW	Yang, Derrick
002747-CN	Estun	China	4,431	2.5%	4.2%	4.8%	5.3%	458.0	122.5	82.5	66.0	10.5	15.7	14.0	12.4	77.2	76.3	61.7	50.2	0.2%	12.2%	UW	Zhong, Sheng
Europe																							
SIE-DE	Siemens	Germany	252,960	12.2%	13.5%	15.1%	16.1%	23.8	26.1	21.2	18.5	2.9	3.4	3.3	3.0	17.4	17.7	14.6	12.8	2.0%	13.4%	EW	Yates, Max
North America																							
PH-US	Parker-Hannifin	US	133,819	23.6%	24.6%	25.4%	26.1%	25.6	31.2	31.2	28.9	6.6	8.1	7.1	5.9	19.1	22.8	22.0	20.0	0.7%	27.5%	EW	Yao, Christine
TER-US	Teradyne	US	59,341	22.3%	32.7%	33.6%	34.5%	47.4	41.0	31.9	26.8	10.9	15.6	12.2	9.0	36.4	32.5	25.3	21.0	0.1%	42.9%	EW	Brett, Shane
ROK-US	Rockwell	US	49,639	18.9%	21.8%	22.9%	23.5%	33.1	33.9	29.8	27.0	10.6	13.2	11.4	9.8	25.8	22.1	19.5	17.6	1.2%	39.6%	OW	Okwara, Toby
CGNX-US	Cognex	US	10,581	16.3%	28.5%	30.4%	31.3%	61.7	37.8	31.7	28.0	7.1	6.2	5.5	4.6	27.2	29.7	25.4	22.8	0.6%	16.5%	-	Non-Cover

Note: As of August 10, 2026. Blue row takes median of the members.

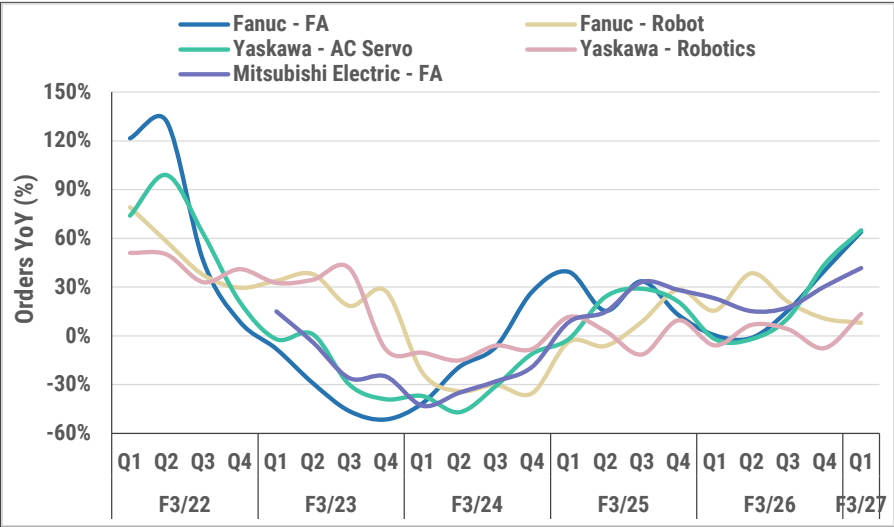
Valuations are based on Morgan Stanley Research estimates, except for Mitsubishi Electric, NACHI, and Cognex for which FactSet consensus estimates are used due to no coverage.

Industry views are: Factory Automation (Japan) Attractive, Heavy Industries (Japan) Attractive, Precision Instruments (Japan) In-Line, Mid Small Cap/Manufacturer (Japan) In-Line, Greater China Technology Hardware (Asia Pacific) In-Line, China Industrials (Asia Pacific) In-Line, Capital Goods (Europe) In-Line, Multi-Industry (North America) Attractive, Semiconductor Capital Equipment (North America) In-Line.

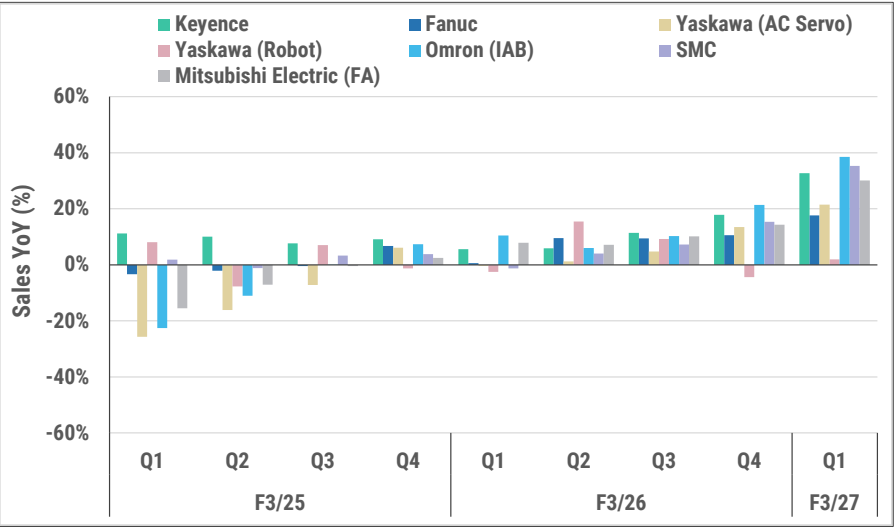
Source: FactSet, Company data, Morgan Stanley Research

FA Majors: Orders, Sales YoY Growth

Orders (YoY %)



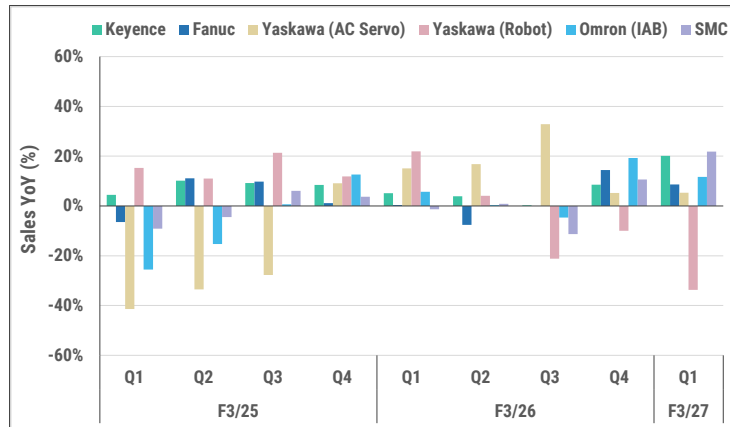
Sales (YoY %)



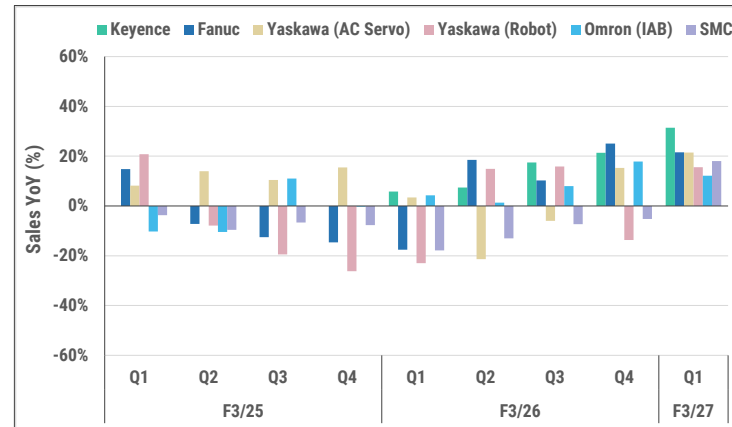
Source: Company data, Morgan Stanley Research

FA Majors: Sales YoY Growth by Region

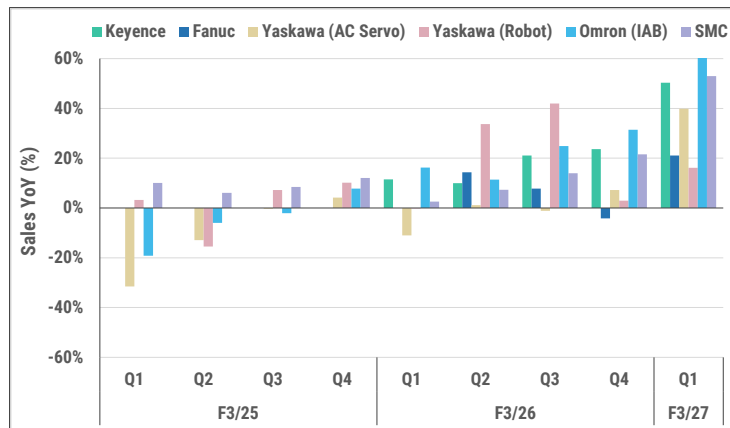
Japan



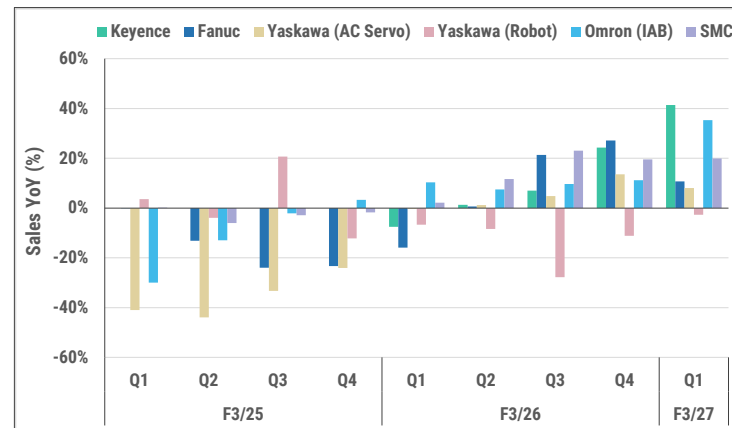
Americas



Asia (incl. China)



Europe



Note: Gathered applicable region for each company, Asia includes China

Source: Company data, Morgan Stanley Research

FA Majors: CoGS/Sales, Inventory Turnover

Keyence	F3/26 FY	F3/27 1Q
Revenue	1,169,289	346,621
COGS	198,552	51,866
Inventory	85,273	101,073
Finished Goods	43,992	
Work in Proces	10,671	
Materials	30,609	
Cost/Sales	17.0%	15.0%
Turnover Days	156.8	

Fanuc	F3/26 FY	F3/27 1Q
Revenue	857,831	231,035
COGS	529,365	139,941
Inventory	292,186	291,462
Finished Goods	128,770	126,622
Work in Proces	78,986	82,380
Materials	84,430	82,460
Cost/Sales	61.7%	60.6%
Turnover Days	201.5	

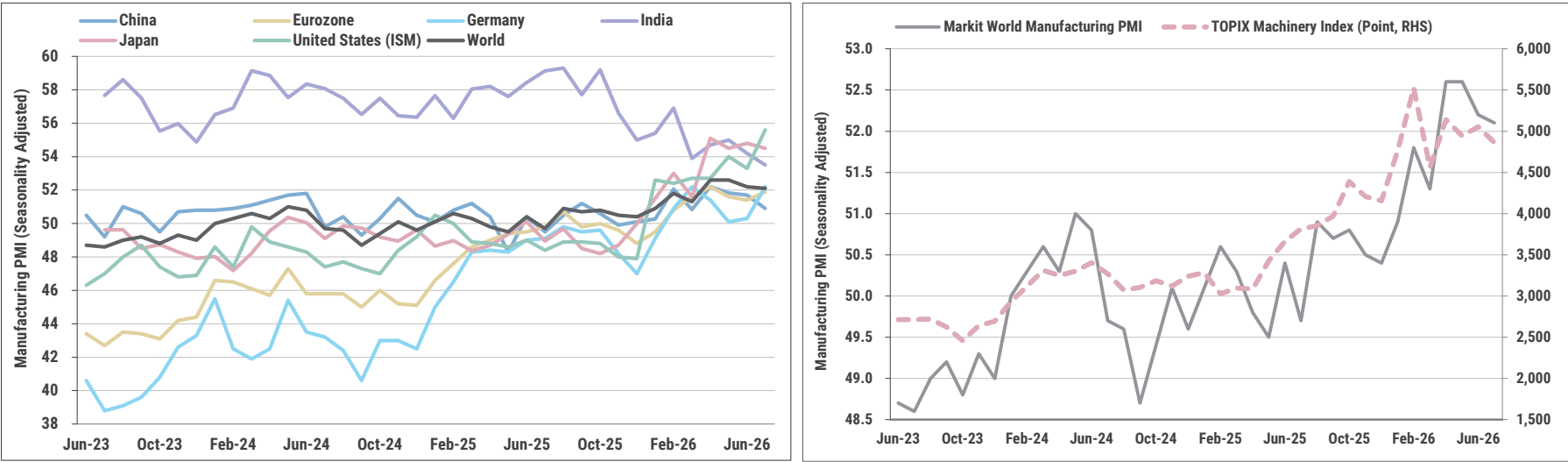
Yaskawa	F3/26 FY	F3/27 1Q
Revenue	542,122	138,982
COGS	350,885	91,104
Inventory	210,764	215,189
Finished Goods	92,847	
Work in Proces	30,322	
Materials	87,594	
Cost/Sales	64.7%	65.6%
Turnover Days	219.2	

SMC	F3/26 FY	F3/27 1Q
Revenue	842,541	270,987
COGS	461,089	144,060
Inventory	506,697	513,207
Finished Goods	198,419	195,225
Work in Proces	33,289	33,474
Materials	274,989	284,508
Cost/Sales	54.7%	53.2%
Turnover Days	401.1	

Omron	F3/26 FY	F3/27 1Q
Revenue	767,351	209,864
COGS	416,350	112,374
Inventory	154,215	161,117
Finished Goods	87,460	
Work in Proces	13,197	
Materials	53,558	
Cost/Sales	54.3%	53.5%
Turnover Days	135.2	

Source: Company data, Morgan Stanley Research

Global Manufacturing PMI & TOPIX Machinery Index



Source: Bloomberg, Markit, Morgan Stanley Research

BOJ Tankan Capex Outlook

Fixed Investment incl. Land Purchasing Expenses

(YoY %)

		FY 2025		FY 2026	
			Revision Rate	Forecast	Revision Rate
Large Enterprises	Manufacturing	10.6	-1.4	10.1	5.6
	Non-Manufacturing	9.8	-0.3	12.3	8
	All Industries	10.1	-0.7	11.5	7.2
Mid-Sized Enterprises	Manufacturing	13.8	1.7	3.6	0.3
	Non-Manufacturing	6.4	0.9	7.8	6.4
	All Industries	9.5	1.2	6.0	3.8
Small Enterprises	Manufacturing	0.1	1.6	2.6	5.7
	Non-Manufacturing	10.1	13.1	-13.0	10.9
	All Industries	6.9	9.4	-8.3	9.1
All Enterprises	Manufacturing	9.5	-0.3	7.5	4.5
	Non-Manufacturing	9.3	2.3	6.4	8.2
	All Industries	9.4	1.4	6.8	6.8
(Memo)	All Industries incl. Financial Institutions	9.1	1.4	6.9	6.9
	All Industries incl. Financial Institutions and Holding Companies, etc.	9.7	1.9	6.6	7.3

Software Investment

(YoY %)

		FY 2025		FY 2026	
			Revision Rate	Forecast	Revision Rate
Large Enterprises	Manufacturing	4.3	0.2	23.4	17.9
	Non-Manufacturing	11.2	-1.5	7.3	4.7
	All Industries	8.6	-0.9	13.1	9.5
Mid-Sized Enterprises	Manufacturing	2.5	-18.6	14.2	-19.3
	Non-Manufacturing	1.9	-0.2	11.5	3.3
	All Industries	2.1	-6.2	12.3	-4.5
Small Enterprises	Manufacturing	22.2	-3.0	8.3	9.9
	Non-Manufacturing	4.5	-13.9	25.3	7.3
	All Industries	9.4	-10.8	20.1	8
All Enterprises	Manufacturing	5.1	-3.2	21.0	10.7
	Non-Manufacturing	8.8	-2.5	9.6	4.7
	All Industries	7.5	-2.7	13.5	6.8
(Memo)	All Industries incl. Financial Institutions	8.9	-2.2	12.4	5.3
	All Industries incl. Financial Institutions and Holding Companies, etc.	9.2	-2.0	12.2	5.3

Source: BOJ, Morgan Stanley Research

FA Majors: Sales/Orders Exposure by Industry

				Below 10%	10-19%	20-29%	Over 30%	
Exposure % by Domain		Electronics & Semiconductors	Auto	General Machinery	Food	Medical	Logistics	Others
Japan	Fanuc							
	Keyence	Semi/FPD 11%, Elec 16.5%	24%	11%				
	SMC	Semi 20%, Elec 12%	17%	10%	7%	6%	inc in Other	28%
	Mitsubishi Electric FA	Semi 10-15%	15-20%					
	Kawasaki Heavy Robot							
	Yaskawa Servo / Robot							
	CKD	50%+						
	Omron IAB							

Note: Numbers are actual F3/26 for SMC, Keyence, Mitsubishi Electric; Morgan Stanley Research Estimate for CKD

Source: Company data, Morgan Stanley Research

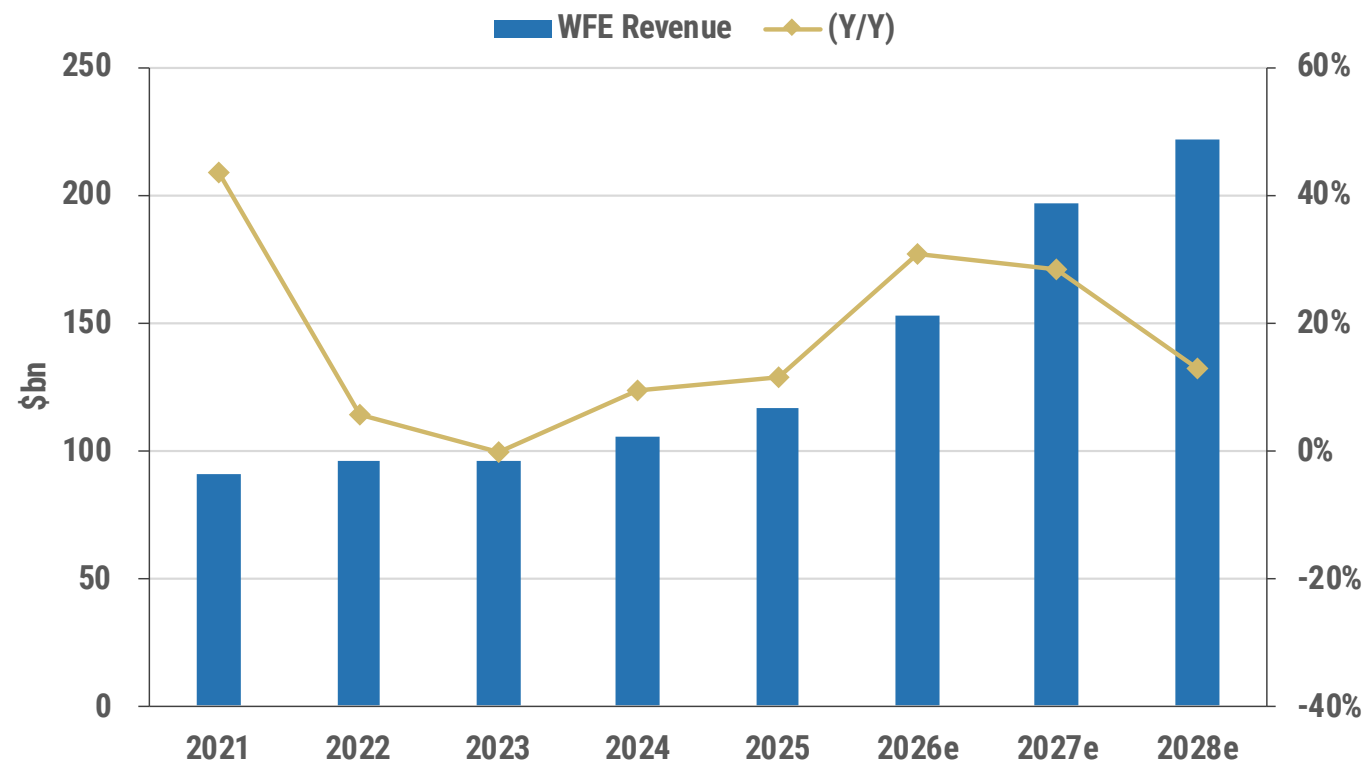
FA Product Portfolio by Company

		Robotics Portfolio			Automation Portfolio						
		Robot	Cobot	Humanoid	Pneumatics	CNC	PLC/ Controller	Servo Motors	Sensors/ Vision/ Safety Systems	Software Solutions	AI
Japan	Fanuc										
	Keyence										
	SMC										
	Mitsubishi Electric FA										
	Yasukawa Servo / Robot										
	CKD										
	Omron IAB										
	Kawasaki Heavy Robot										

Note: Color indicates where individual companies have products/solutions

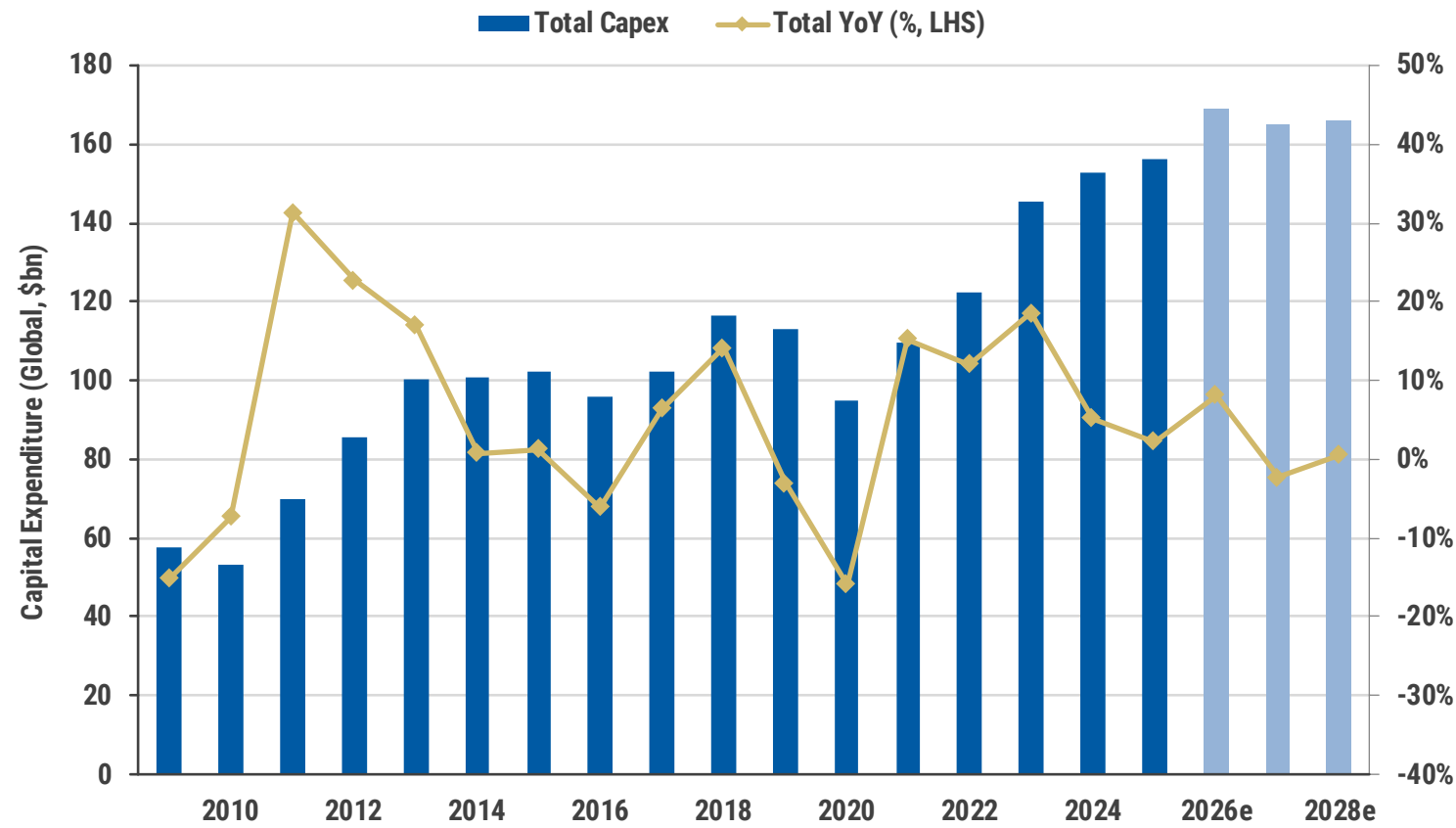
Source: Company data, Morgan Stanley Research

Capex by End-market: Semiconductors



Source: Gartner, SEMI, Company data, Morgan Stanley Research; e = Morgan Stanley Research estimates

Capex by End-market: Automotive



Source: Bloomberg, Company data, Morgan Stanley Research; Estimates are Bloomberg Consensus

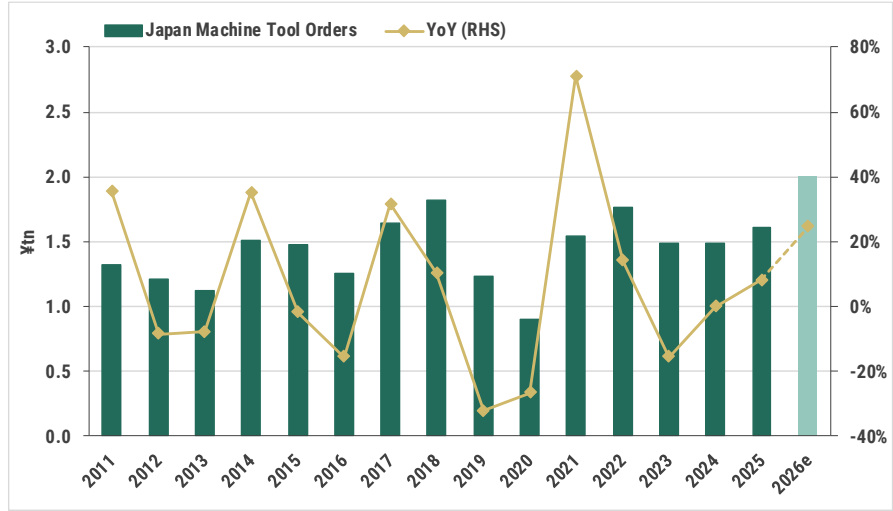
NSK: Demand Outlook for Industrial Machinery by End-Market

		F3/27 1H vs. F3/26 2H	F3/27 2H vs. F3/27 1H
Aftermarket (AM)		→	→
E&E	Appliances	→	→
	Auto	→	→
OEM	Robot	↑	↑
	Windmill	↓	→
	Railway	→	→
	Machine Tool	↑↑↑	→
	SPE	↑↑↑	↑

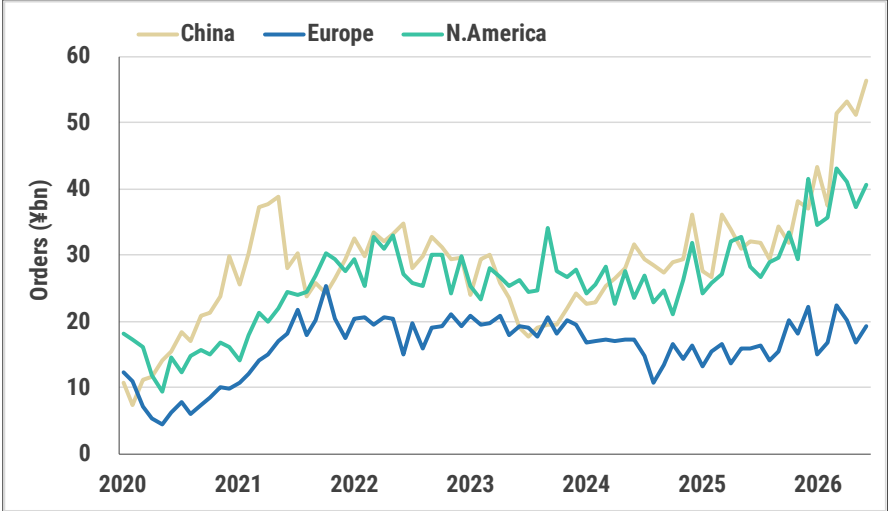
Source: Company data, Morgan Stanley Research

Japan Machine Tool Orders

Total

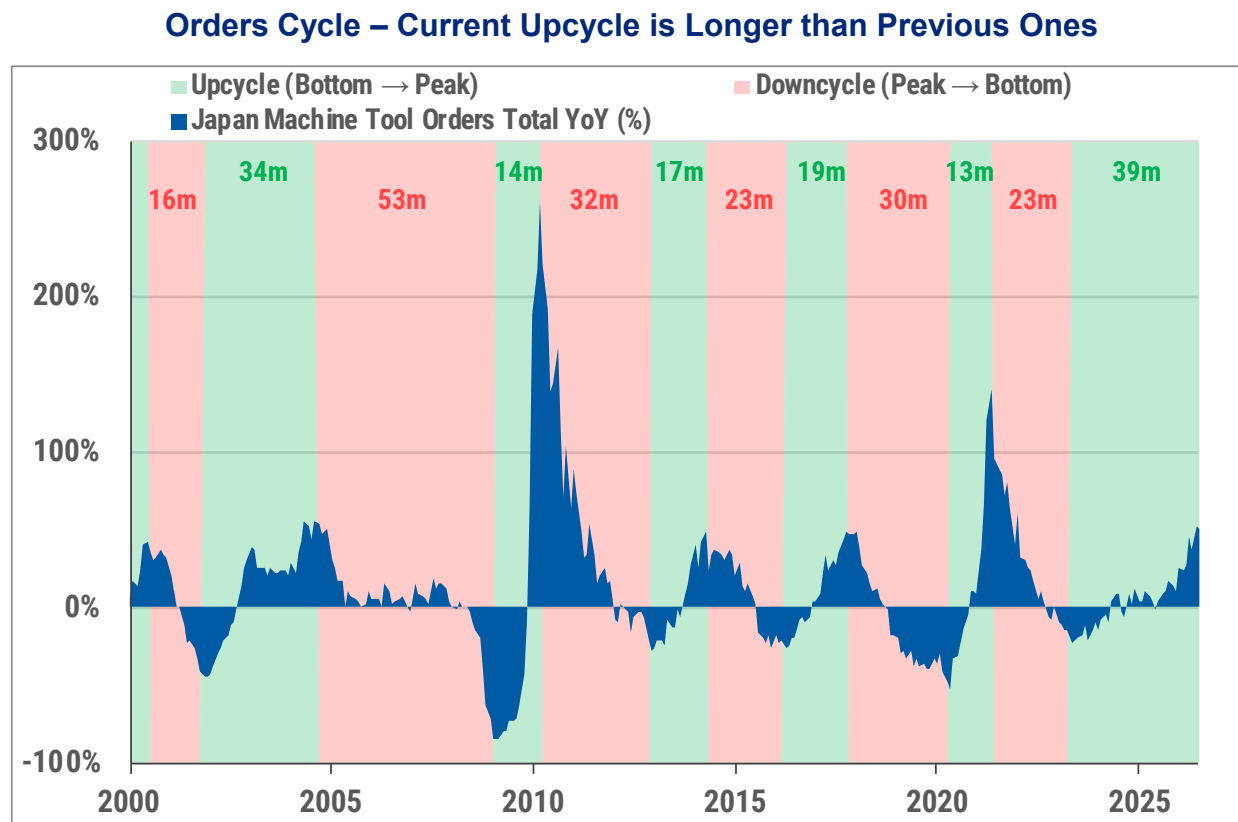


By Region



Source: JMTBA, Morgan Stanley Research; e = JMTBA estimate

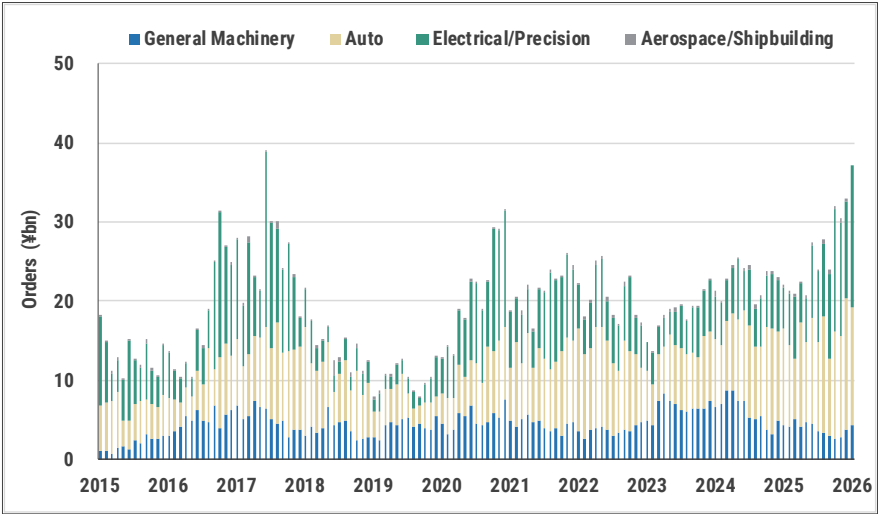
Japan Machine Tool Orders



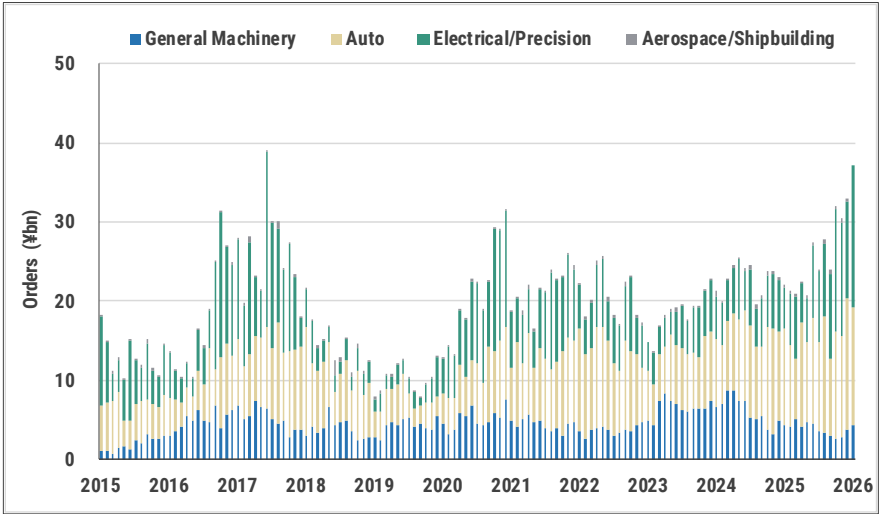
Source: JMTBA, Morgan Stanley Research

Japan Machine Tool Orders: China & India

China



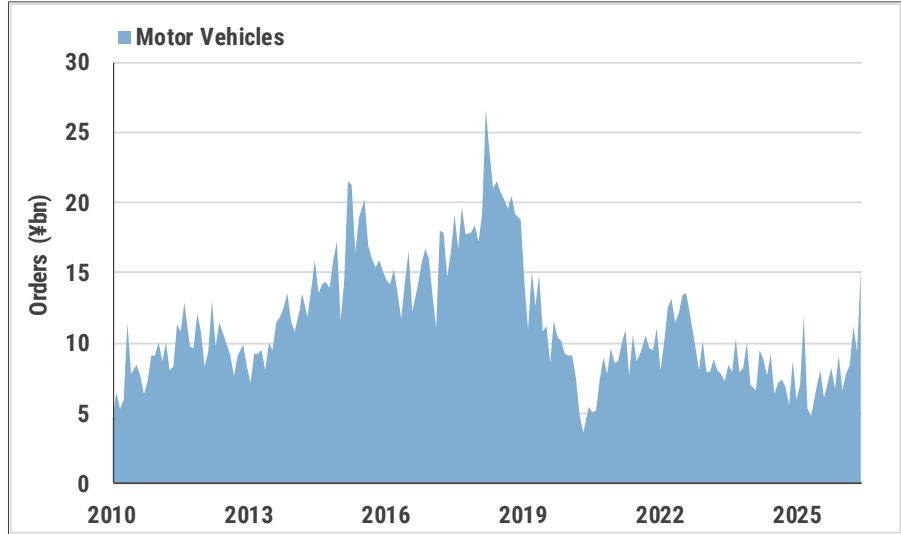
India



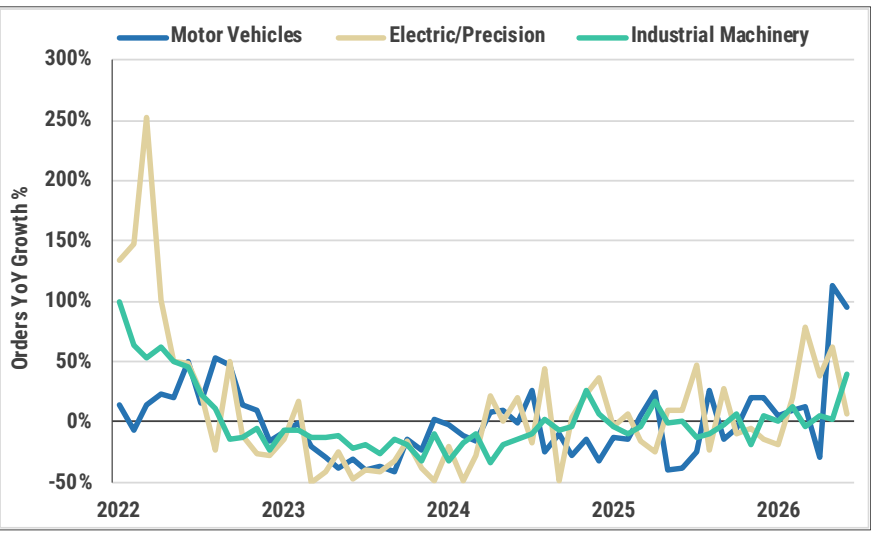
Source: JMTBA, Morgan Stanley Research

Japan Machine Tool Orders: Japan By Industry

Japan Automotive



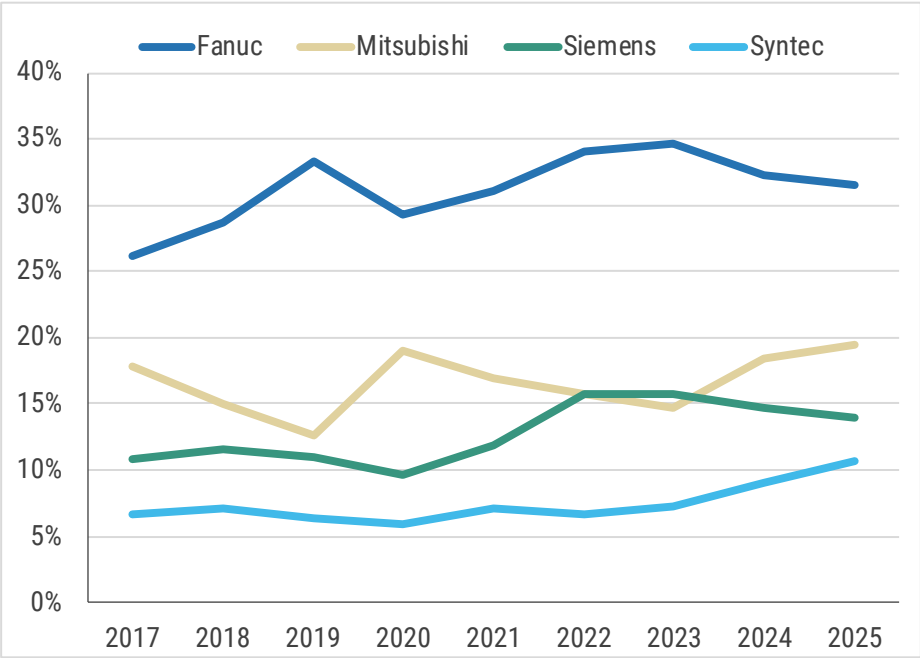
Japan By Industry YoY



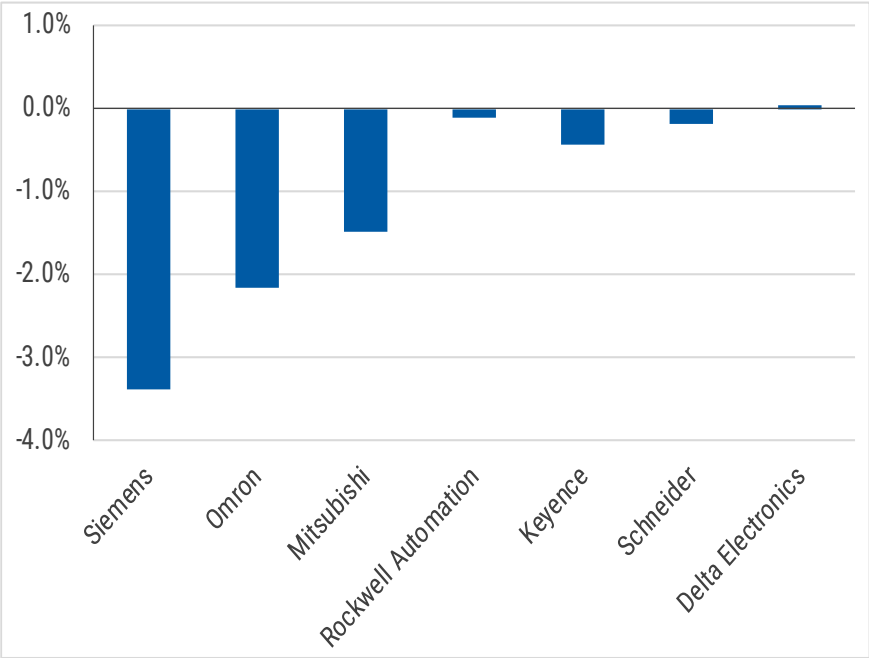
Source: JMTBA, Morgan Stanley Research

CNC/PLC in Chinese Market

CNC China Market Share

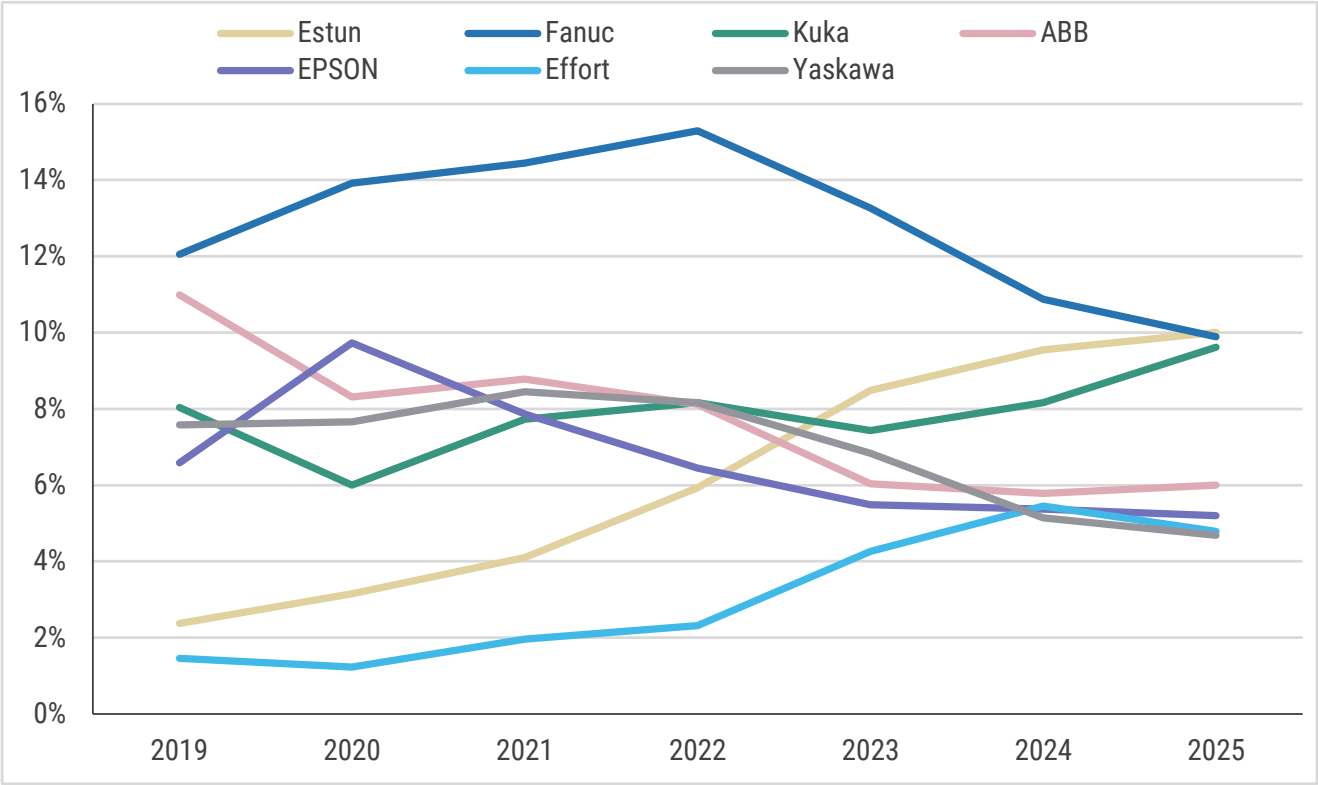


Mid/Lrg PLC Market Share Changes (2025 vs. 2021)



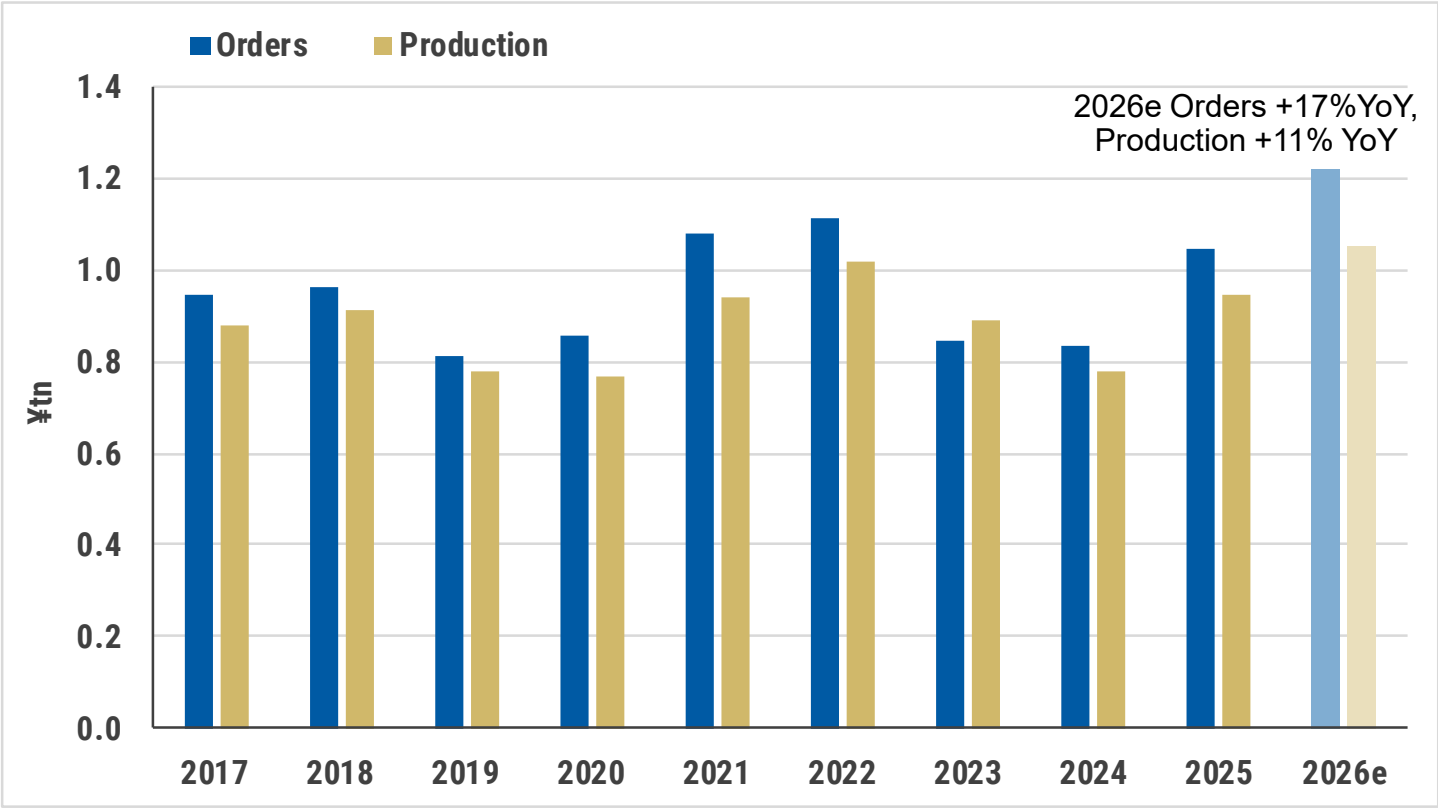
Source: MIR, Morgan Stanley Research

Robot Volume Share in Chinese Market



Source: MIR, Morgan Stanley Research

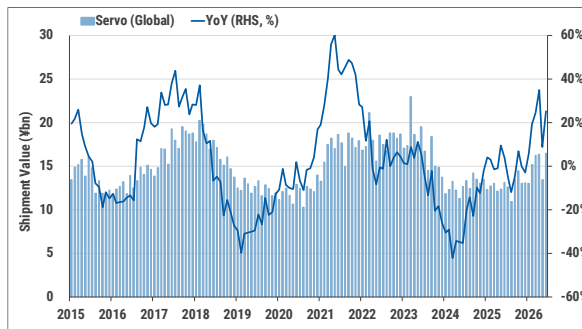
Japan Robot Orders/Production Trends & Forecasts



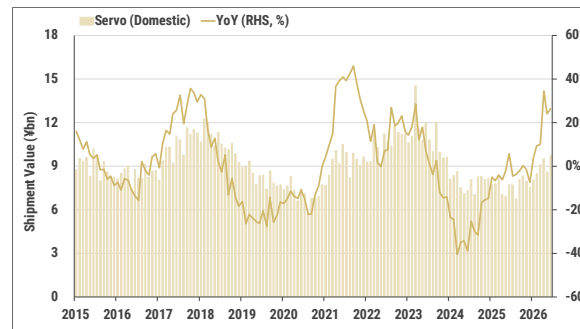
Source: JARA, Morgan Stanley Research; e = Japan Robot Association Estimates

Servo Motor / PLC Shipment From Japan

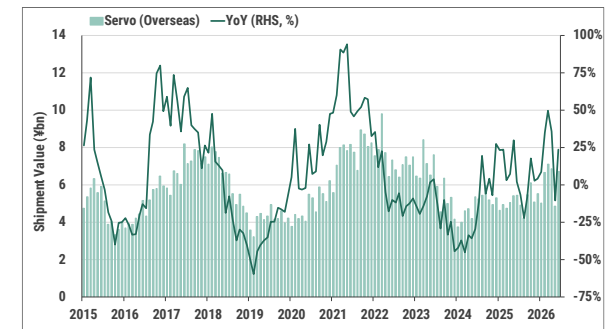
Servo: Total



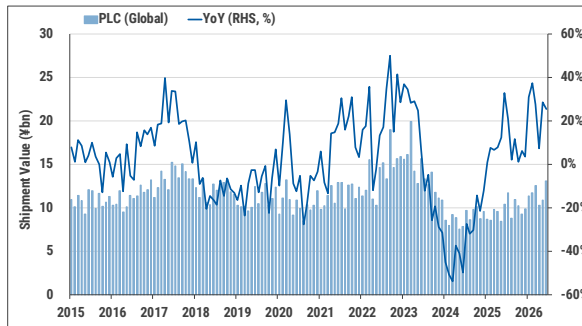
Servo: Domestic



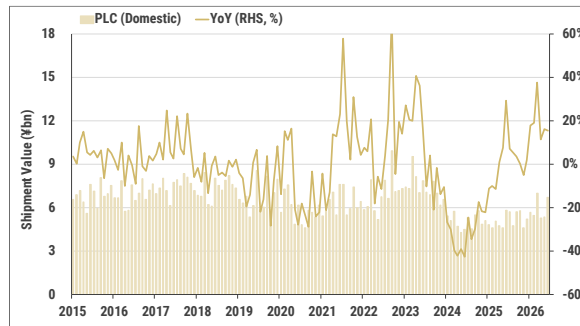
Servo: Overseas



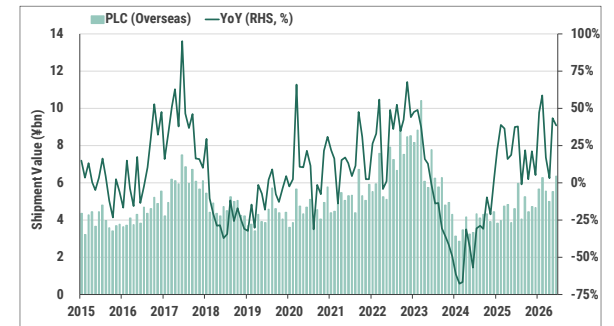
PLC: Total



PLC: Domestic



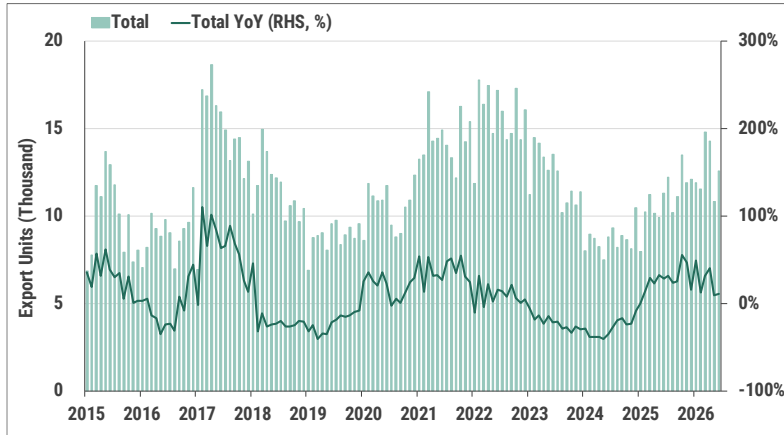
PLC: Overseas



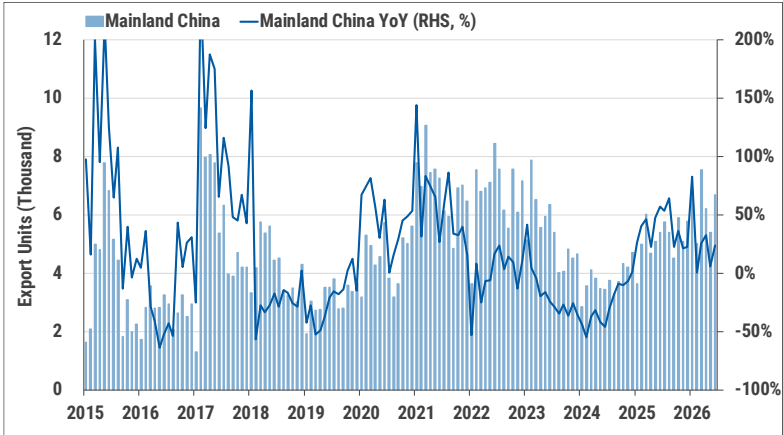
Source: JEMA, Morgan Stanley Research

Japan Robot Export (Volume)

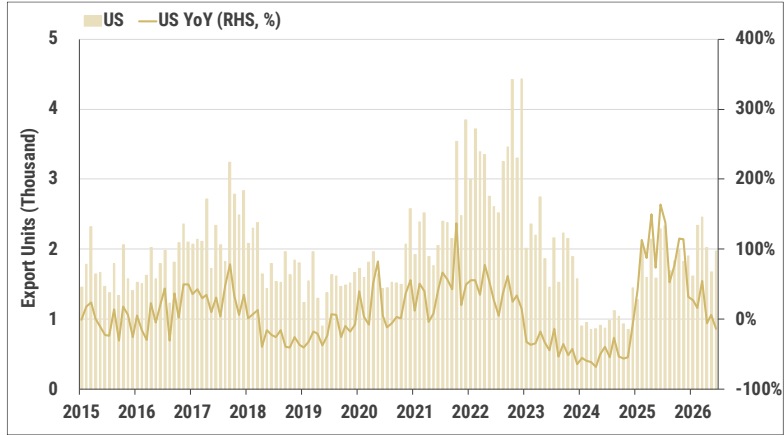
Total



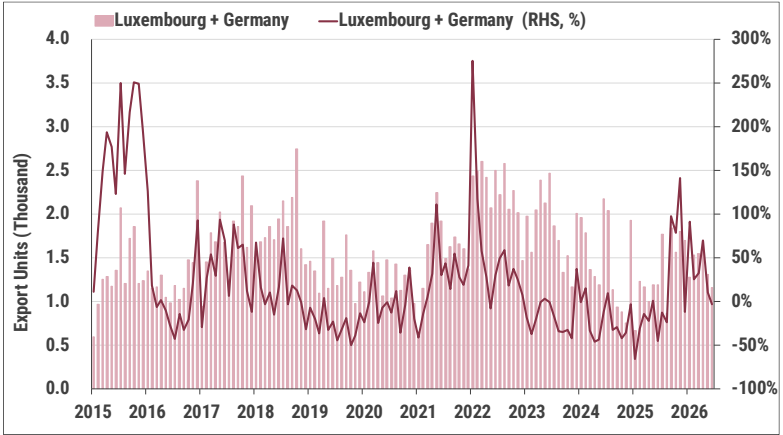
Mainland China



US



Luxembourg + Germany



Source: Trade Statistics of Japan, Morgan Stanley Research

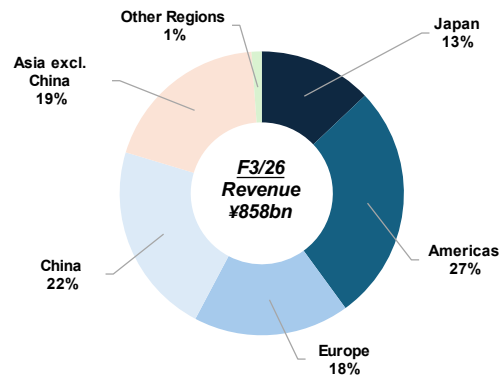
Implementation Costs of Robot (+ Humanoid)

Unit: \$ Thousand (Otherwise Specified)	Necessary Even for Humanoids	Case by Case			
		Case 1	Case 2	Case 3	Case 4
		Product Assembly	Food Packaging	Load/Unload Parts to Machine Tools	Boxing of Products
(a) Robot Arm		80.0	266.7	20.0	53.3
(a-1) Price		20.0	26.7	20.0	26.7
(a-2) Number of Units (Unit)		4	10	1	2
(b) Related Parts		66.7	266.7	4.7	26.7
Hand		-	-	2.7	10.7
Camera		-	-	-	16.0
Base		-	-	2.0	-
(c) Peripheral Equipment		120.0	400.0	6.0	166.7
Safety Fence		-	-	2.0	-
Product Stocker		-	-	4.0	-
Belt Conveyor		-	-	-	66.7
Box Forming, Sealing Machine		-	-	-	100.0
(d) System Integration		133.3	400.0	34.7	90.0
Concept Design & Risk Assessment		-	-	6.7	13.3
Detailed Design (Mechanical, Electrical, Hand)		-	-	13.3	40.0
Manufacturing & Assembly		-	-	8.0	20.0
Installation, Adjustments, Transportation		-	-	5.3	13.3
Safety Training		-	-	1.3	3.3
(A) Total (a)+(b)+(c)+(d)		400.0	1,333.3	65.3	336.7
(B) Total excl. Robot Arm (b) + (c) + (d)		320.0	1,066.7	45.3	283.3
Robot Implementation Cost / Unit		-	-	-	-
(A') Total (A)/(a-2)		100.0	133.3	65.3	168.3
(B') Total excl. Robot Arm (B)/(a-2)		80.0	106.7	45.3	141.7
System Integration Cost/Arm Ratio% (B')/(a-2)		400%	400%	227%	531%
(C) Productivity Gain (i)+(ii)		136.0	266.7	-	-
(i) Labor Cost		40.0	266.7	-	-
Annual Pay / Worker		20.0	38.1	-	-
No. of Workers		0.1	0.5	-	-
(ii) Profit Gain on Quality Improvement		96.0	-	-	-
Recovery Period (Years) (C)/(A)		2.9	5.0	-	-

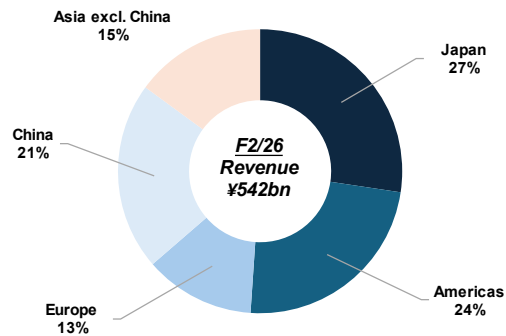
Source: JARA, Morgan Stanley Research

Japan FA Majors: Revenue Breakdown by Region

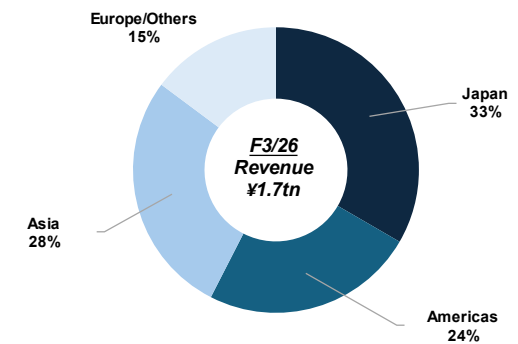
Fanuc



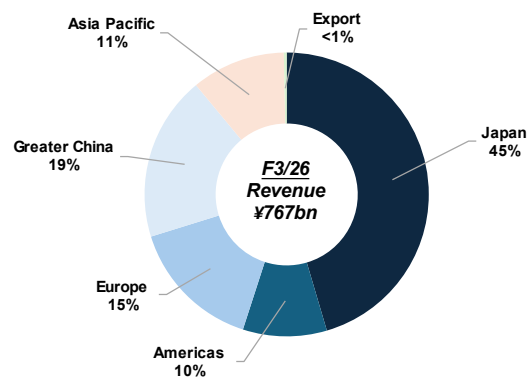
Yaskawa



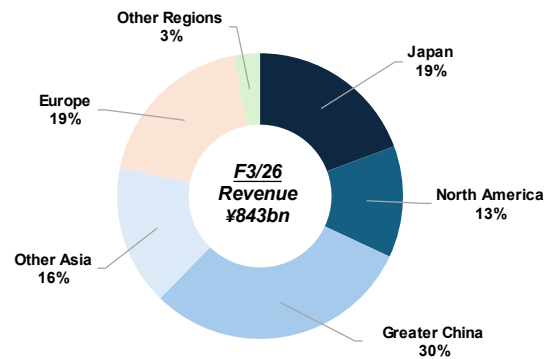
Keyence



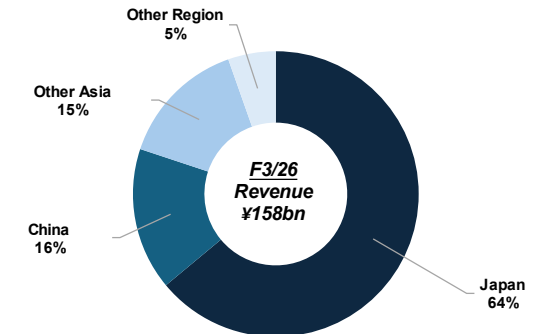
Omron



SMC



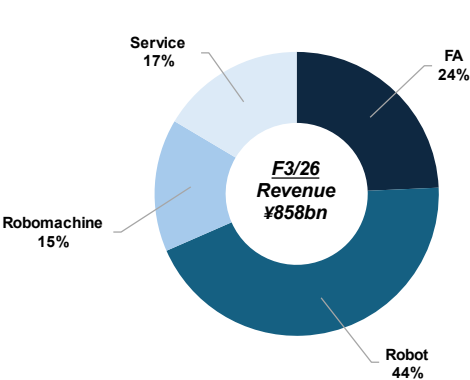
CKD



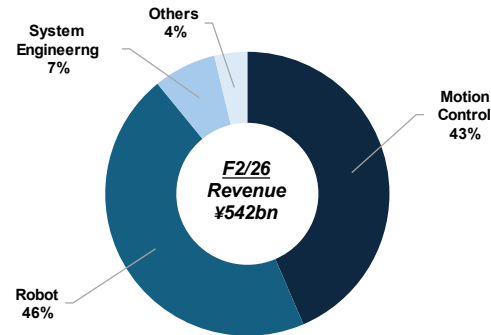
Source: Company data, Morgan Stanley Research

Japan FA Majors: Revenue Breakdown by Business

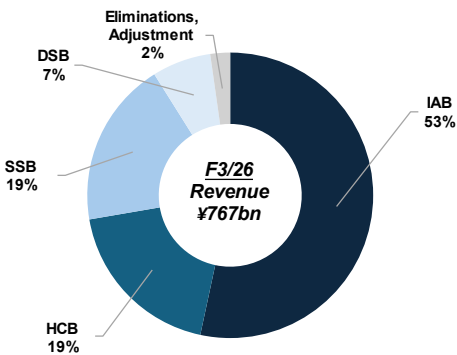
Fanuc: Revenue



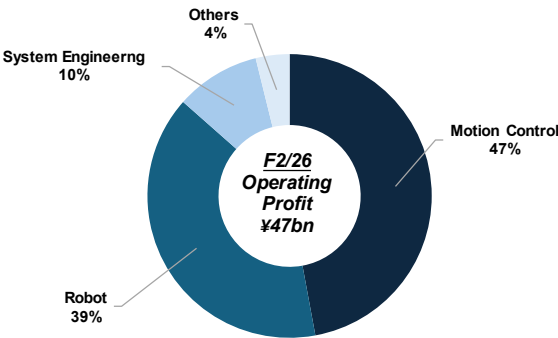
Yaskawa: Revenue



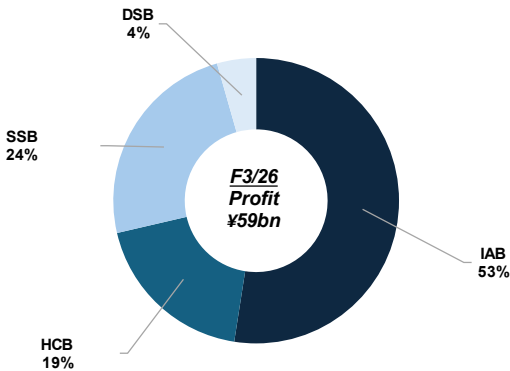
Omron: Revenue



Yaskawa: OP



Omron: OP



Source: Company data, Morgan Stanley Research

Earnings Estimates & Consensus

FY-end (¥mn)		Revenue	YoY	Operating Profit	(Margin)	YoY	Profit Before Tax	YoY	Net Profit	YoY	EPS (yen)
Keyence (6861)											
F3/24	Actual	967,288	5%	495,014	(51.2%)	-1%	519,295	1%	369,642	2%	1,524
F3/25	Actual	1,059,145	9%	549,775	(51.9%)	11%	561,010	8%	398,656	8%	1,644
F3/26	Actual	1,169,289	10%	595,759	(51.0%)	8%	635,756	13%	445,185	12%	1,836
F3/27	e	1,446,613	24%	778,712	(53.8%)	31%	817,712	29%	572,399	29%	2,360
	e (consensus)	1,434,725	23%	759,281	(52.9%)	27%	793,530	25%	554,676	25%	2,298
F3/28	e	1,640,128	13%	883,614	(53.9%)	13%	922,614	13%	645,830	13%	2,680
	e (consensus)	1,603,860	12%	848,210	(52.9%)	12%	891,690	12%	617,580	11%	2,560
F3/29	e	1,821,613	11%	981,511	(53.9%)	11%	1,020,511	11%	714,358	11%	2,982
	e (consensus)	1,760,761	10%	934,407	(53.1%)	10%	976,544	10%	681,114	10%	2,820
Fanuc (6954)											
F3/24	Actual	795,274	-7%	141,919	(17.8%)	-26%	181,755	-21%	133,159	-22%	140
F3/25	Actual	797,129	0%	158,846	(19.9%)	12%	196,738	8%	147,557	11%	157
F3/26	Actual	857,831	8%	183,763	(21.4%)	16%	227,485	16%	166,543	13%	178
	Ce	948,100	11%	218,000	(23.0%)	19%			198,000	19%	212
F3/27	e	982,330	15%	229,680	(23.4%)	25%	275,532	21%	200,994	21%	215
	e (consensus)	962,022	12%	227,449	(23.6%)	24%	276,449	22%	204,429	23%	219
F3/28	e	1,079,520	10%	264,870	(24.5%)	15%	312,895	14%	228,642	14%	245
	e (consensus)	1,020,079	6%	247,089	(24.2%)	9%	298,578	8%	220,081	8%	236
F3/29	e	1,157,420	7%	290,200	(25.1%)	10%	340,526	9%	249,089	9%	267
	e (consensus)	1,069,358	5%	264,479	(24.7%)	7%	317,392	6%	235,494	7%	253
SMC (6273)											
F3/24	Actual	776,873	-6%	196,226	(25.3%)	-24%	252,652	-18%	178,321	-21%	2,767
F3/25	Actual	792,108	2%	190,244	(24.0%)	-3%	211,068	-16%	156,344	-12%	2,445
F3/26	Actual	842,541	6%	190,558	(22.6%)	0%	236,989	12%	167,302	7%	2,640
	Ce	1,000,000	19%	219,000	(21.9%)	15%			170,000	2%	2,692
F3/27	e	1,047,409	24%	259,360	(24.8%)	36%	301,960	27%	214,392	28%	3,433
	e (consensus)	1,025,568	22%	246,114	(24.0%)	29%	266,203	12%	198,657	19%	3,120
F3/28	e	1,167,324	11%	282,860	(24.2%)	9%	325,460	8%	231,077	8%	3,742
	e (consensus)	1,117,800	9%	269,731	(24.1%)	10%	288,505	8%	211,513	6%	3,368
F3/29	e	1,274,869	9%	306,380	(24.0%)	8%	348,980	7%	247,776	7%	4,058
	e (consensus)	1,157,379	-1%	277,736	(24.0%)	-2%	298,841	-8%	217,563	-6%	3,513

Note: Ce = company guidance; e = Morgan Stanley Research estimates; e (consensus) = FactSet consensus estimates as of August 10.

Source: FactSet, Company Data, Morgan Stanley Research

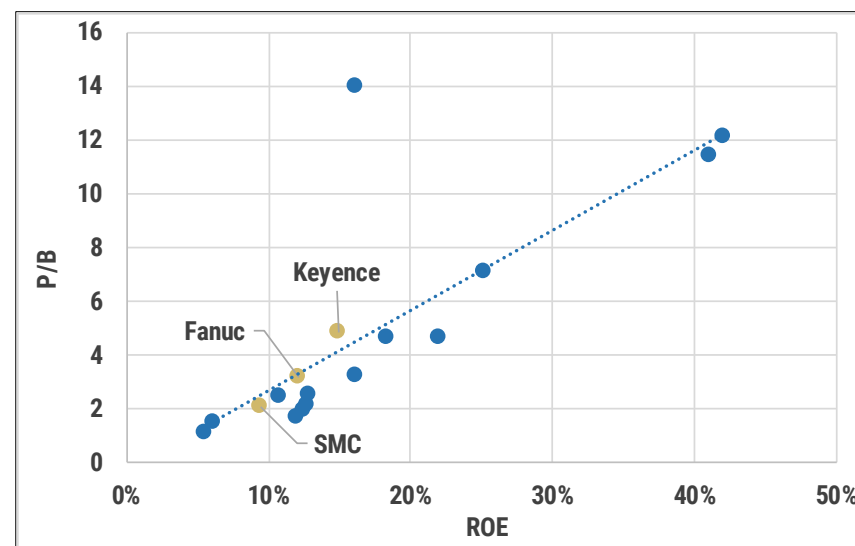
Japan FA Majors: Historical Multiple

<u>P/E - 12-month forward</u>						
	Fanuc	Keyence	SMC	Yaskawa	Omron	CKD
Average 1 FY	26.9	30.6	20.8	23.5	18.2	13.7
Average 3 FY	27.2	35.9	22.8	25.2	25.7	13.4
Average 5 FY	26.7	39.3	23.5	26.3	25.8	12.7
Average 10 FY	30.1	37.9	23.0	27.9	24.6	14.4
8/10/2026	28.9	36.0	24.7	26.3	27.4	19.9
Premium to 3Yr Ave	6.2%	0.2%	8.6%	4.4%	6.4%	48.9%

<u>P/B - 12-month forward</u>						
	Fanuc	Keyence	SMC	Yaskawa	Omron	CKD
Average 1 FY	2.5	3.9	1.7	2.1	1.0	1.4
Average 3 FY	2.4	4.7	2.2	3.0	1.4	1.3
Average 5 FY	2.6	5.1	2.4	3.4	1.8	1.3
Average 10 FY	2.7	4.9	2.3	3.5	2.0	1.3
8/10/2026	3.1	5.2	2.2	2.7	1.6	2.4
Premium to 3Yr Ave	29.4%	10.4%	3.5%	-10.3%	16.1%	86.7%

<u>EV/EBITDA - 12-month forward</u>						
	Fanuc	Keyence	SMC	Yaskawa	Omron	CKD
Average 1 FY	16.5	19.8	10.6	13.4	9.7	7.1
Average 3 FY	16.3	23.6	13.1	14.9	11.7	6.7
Average 5 FY	15.8	25.8	13.6	15.5	12.3	6.1
Average 10 FY	16.6	24.4	13.1	15.6	11.6	6.6
8/10/2026	18.6	23.9	13.3	15.2	11.8	10.7
Premium to 3Yr Ave	14.1%	1.3%	1.9%	1.8%	0.4%	60.9%

F3/28e P/B vs. ROE

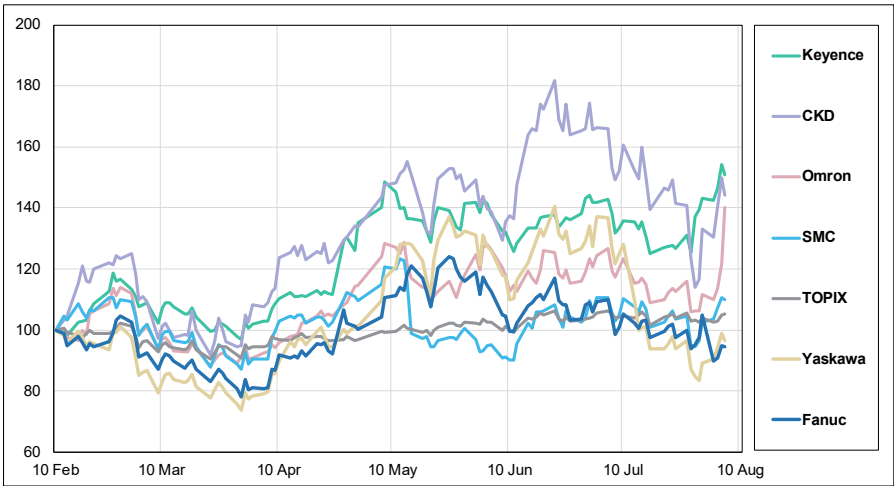


e = Morgan Stanley Research estimates

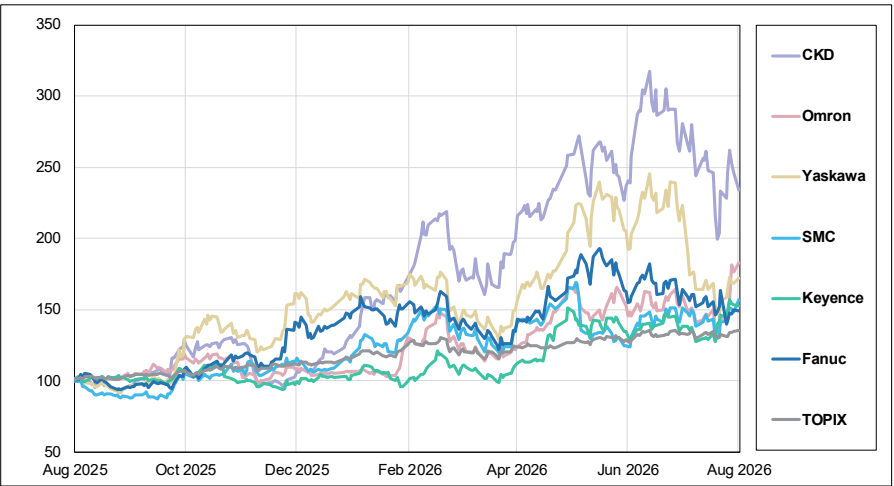
Source: FactSet, Morgan Stanley Research

Japan FA Majors: Share Price Performance

6 Months



12 Months



Source: FactSet, Morgan Stanley Research; Share price as of June 30, 2026

Keyence: New Products With High Value-Add

#	Release Date	Product Name (Model)	Application (Industry)	AI	World's First	Key Advantages
1	6/22/2026	Desktop Automatic CMM (Coordinate Measuring Machine)	3D dimensional measurement of parts (Manufacturing)	-	○	- Place-and-press measurement – no adjustments needed - Desktop size – 1/5 the footprint of conventional CMMs
2	6/22/2026	Embedded Equipment Test Support System	Functional testing of electronic devices (Electronics)	-	○	- Enables IC testing without waiting for hardware development
3	6/22/2026	Vision Sensor with Built-in AI	Presence detection, OCR, counting on production lines	○	-	- Optimal, AI-selected setting from 10,000+ imaging conditions
4	Spring 2026	Confocal Laser Scanning Unit	3D observation of cells and tissues (Life Sciences)	-	-	- No darkroom required & space-saving confocal laser scanning
5	Spring 2026	AI-Powered High-Performance Vision System	Image inspection / data processing (Multi-industry)	○	○	- Stores ALL high-resolution inspection images, including good parts - Auto-tunes defect detection parameters
6	Early 2026	Linear Cylinder Sensor / Smart Cushion Valve / Smart Valve Manifold	Pneumatic control (Manufacturing)	-	-	- Measures and visualizes piston position via magnetic field - Optimal shock absorption, reducing cycle time
7	Late 2025	3D Optical Profiling Microscope	Surface profiling microscope (Electronics, Materials, etc.)	○	-	- Measures from millimeter to nanometer scales - Automated multi-point measurement
8	Late 2025	High-Accuracy Inline Electrostatic Sensor	Static electricity management (Semiconductors, Electronics)	-	-	- Continuously measures and transmits electrostatic charge - 10x accuracy, 14x response speed of conventional models
9	Summer 2025	3D Printer for Manufacturing Sites	In-house production of jigs and parts (Manufacturing)	-	-	- On-site fabrication of needed components - Lead time & cost reduced to 1/10
10	Summer 2025	Inductive Proximity Sensor	Presence/position detection of metal parts (Manufacturing)	-	-	- Solves the durability issue of impact-prone proximity sensors - Detection distance extended up to 10mm
11	Summer 2025	Image Dimension Measurement System	3D dimensional measurement (Manufacturing)	-	-	- Place-and-press, automated high-precision 3D measurement - Supports large parts up to 500x400x200mm
12	Summer 2025	High-Speed Label Code Reader	Barcode / 2D-code reading on production lines	-	-	- Best of both laser-type and camera-type readers in one unit - Reads even dirty or damaged codes
13	2025	3-Axis UV Laser Marker	Product printing / marking (Multi-industry)	-	-	- High-contrast, damage-free marking (copper, PP, ceramics, etc.) - 2x faster printing speed vs. conventional models
14	2025	Next-Generation PLC	FA (Factory Automation) equipment control (Manufacturing)	-	○	- Instant connection to third-party servos / robots (Universal Library) - EtherCAT support / battery-less servo system
15	Early 2025	Compact & Durable Safety Light Curtain	Human intrusion detection / Machine safety guarding	-	○	- Compact, durable, and high-power (15 m detection distance) - Easy visual confirmation of transmitter/receiver status
16	Early 2025	3D Scanner CMM	3D measurement & analysis (Manufacturing)	○	○	- AI suggests "how to measure" – half-day jobs done in minutes - Multiple analysis & measurement modes

Source: Company data, Morgan Stanley Research

Keyence: Makerz (Subsidiary) Provides Needs-Based Products too

Release Date	Product	Price (JPY, incl. tax)	Key Features
6/15/2026	USB Power Cable	¥1,100–1,650	- Highly durable, break-resistant - passed 100,000 bend tests / flexible and tangle-resistant
6/3/2026	HVAC Cooling Wear "HV-AC Series"	¥28,600 (full set)	- Hybrid cooling with large Peltier + silent fan / no heat buildup from fan exhaust - Equipped with heat- and impact-resistant semi-solid-state battery
5/27/2026	Ultra-Compact USB Fast Charger	¥2,640	- Only 44 g, up to 30 W output
5/19/2026	Heatstroke Prevention Band "Heat Core Band"	¥7,260	- Measures skin surface / environmental temperature – algorithmic analysis determines heatstroke risk - 11 mm thick, 5-month battery life on a coin cell
4/27/2026	Metal Spiral USB Cable	¥1,210–1,815	- Stainless steel cable jacket prevents wire breakage
4/21/2026	Semi-Solid-State Power Bank (5,000–10,000 mAh)	¥4,790–5,790	- Non-flammable – verified by nail penetration (x5), 100 °C heating, and cutting tests
3/3/2026	Rechargeable AA Battery (Nickel-Zinc)	¥2,980 (4-pack)	- Direct charging with USB Type-C plug, lithium-free, non-flammable
1/8/2026	Fully Wireless Ultrasonic Cutter	¥39,800	- Blade vibrates 40,000 times/sec – cuts hard materials with a single stroke / cordless
9/30/2025	Digital Electric Screwdriver	¥8,880	- Three-level torque adjustment / displays battery level and torque
9/4/2025	Handheld Air Blow Gun	¥21,780	- Use anywhere / power that rivals compressed air / 95% less electricity consumption
8/19/2025	Air Leak Finder / Instant Leak Repair Material	—	- Detects pipe air leaks via microphone, outputs visual image - Simultaneously calculates and displays leak volume and estimated cost - Repair material cures instantly under UV light
4/22/2025	24V Handheld Power Supply	¥38,280	- Powers 24V sensors anytime, anywhere - Reduces 30-minute wiring-to-measurement workflow down to 3 minutes

Source: PR Times, Company data, Morgan Stanley Research

Keyence: Segment Earnings Estimate

Segment Revenue (¥ mn)									YoY		
	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e	F3/27e	F3/28e	F3/29e
Sales	755,174	922,422	967,288	1,059,145	1,169,289	1,446,613	1,640,128	1,821,613	23.7%	13.4%	11.1%
Domestic Sales	310,180	347,753	344,587	372,908	390,066	470,030	525,858	575,598	20.5%	11.9%	9.5%
Semiconductor & LCD	31,018	34,775	34,459	37,291	39,007	50,709	60,850	69,978	30.0%	20.0%	15.0%
Electronics & Precision	46,527	60,465	51,688	55,936	58,510	73,137	80,451	88,496	25.0%	10.0%	10.0%
Auto & Transportation	77,545	86,938	86,147	93,227	97,517	112,144	117,751	123,639	15.0%	5.0%	5.0%
Metals & Machine Tools	31,018	34,775	34,459	37,291	39,007	46,808	51,489	56,638	20.0%	10.0%	10.0%
Food & Medical	31,018	34,775	34,459	37,291	39,007	46,808	53,829	59,212	20.0%	15.0%	10.0%
Others	93,054	96,024	103,376	111,872	117,020	140,424	161,487	177,636	20.0%	15.0%	10.0%
Overseas Sales	444,994	574,669	622,701	686,237	779,223	976,584	1,114,270	1,246,014	25.3%	14.1%	11.8%
Semiconductor & LCD					87,450	119,565	143,478	166,129	36.7%	20.0%	15.8%
Electronics & Precision					134,920	175,348	199,165	219,082	30.0%	13.6%	10.0%
Auto & Transportation					188,842	228,272	255,434	276,174	20.9%	11.9%	8.1%
Metals & Machine Tools					86,525	109,353	121,519	130,755	26.4%	11.1%	7.6%
Food & Medical					77,992	95,310	109,263	125,653	22.2%	14.6%	15.0%
Others					203,015	248,735	285,411	328,222	22.5%	14.7%	15.0%
Americas	136,654	191,330	220,176	249,350	282,316	334,780	378,561	421,640	18.6%	13.1%	11.4%
Semiconductor & LCD					14,116	18,821	22,585	27,102	33.3%	20.0%	20.0%
Electronics & Precision					20,594	25,399	27,939	30,733	23.3%	10.0%	10.0%
Auto & Transportation					77,057	87,331	96,064	100,868	13.3%	10.0%	5.0%
Metals & Machine Tools					28,232	34,819	38,301	40,216	23.3%	10.0%	5.0%
Food & Medical					35,870	42,446	48,812	56,134	18.3%	15.0%	15.0%
Asia	209,673	251,405	245,962	277,244	323,417	436,629	506,619	567,659	35.0%	16.0%	12.0%
Semiconductor & LCD					64,683	89,913	107,896	124,080	39.0%	20.0%	15.0%
Electronics & Precision					97,025	130,018	149,521	164,473	34.0%	15.0%	10.0%
Auto & Transportation					64,683	86,679	99,681	109,649	34.0%	15.0%	10.0%
Metals & Machine Tools					32,342	43,339	49,840	54,824	34.0%	15.0%	10.0%
Food & Medical					16,171	21,670	24,920	28,658	34.0%	15.0%	15.0%
Others					48,513	65,009	74,761	85,975	34.0%	15.0%	15.0%
Europe/Others	98,667	131,934	156,408	159,814	173,010	205,175	229,091	256,715	18.6%	11.7%	12.1%
Semiconductor & LCD					8,651	10,831	12,997	14,946	25.2%	20.0%	15.0%
Electronics & Precision					17,301	19,931	21,705	23,876	15.2%	8.9%	10.0%
Auto & Transportation					47,102	54,262	59,689	65,657	15.2%	10.0%	10.0%
Metals & Machine Tools					25,952	31,194	33,378	35,714	20.2%	7.0%	7.0%
Food & Medical					25,952	31,194	35,531	40,860	20.2%	13.9%	15.0%
Others					48,054	57,762	65,792	75,660	20.2%	13.9%	15.0%

Source: Company Data, Morgan Stanley Research; e = Morgan Stanley Research Estimates

Keyence: Valuation

Valuation	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Share Price (Yen)	54,800	60,250	71,290	60,930	59,080	86,630	86,630	86,630
P/E	43.8	40.3	46.8	37.1	32.2	36.7	32.3	29.1
P/B	6.1	5.9	6.2	4.8	4.2	5.4	5.0	4.5
EV/EBITDA	29.4	27.4	32.6	24.0	20.9	24.1	20.9	18.5
EV/EBIT	29.4	27.4	32.6	24.7	21.5	24.7	21.4	18.8
EV/Sales	16.3	14.8	16.7	12.8	11.0	13.3	11.5	10.1
FCF Yield	2.0%	0.1%	0.8%	0.9%	0.8%	0.9%	1.4%	1.7%
Dividend Yield	0.4%	0.4%	0.4%	0.5%	0.8%	0.6%	0.8%	0.9%
ROE	14.0%	14.7%	13.4%	13.0%	13.0%	14.9%	15.5%	15.7%
ROA	13.1%	13.7%	12.5%	12.1%	12.1%	14.0%	14.8%	15.1%
ROIC	14.9%	15.7%	14.2%	13.7%	13.7%	15.8%	16.1%	16.4%
Other Metrics (¥ mn)								
Undiluted S/O (mn)	242.5	242.5	242.5	242.5	242.5	242.5	241.0	239.6
Diluted S/O (mn)	243.2	243.2	243.2	243.2	243.2	243.2	243.2	243.2
EPS (Yen)	1,251	1,497	1,524	1,644	1,836	2,360	2,680	2,982
DPS (Yen)	200	300	300	350	550	550	700	800
BPS (Yen)	8,962	10,274	11,571	12,817	14,077	15,996	17,439	19,128
EV	12,285,862	13,671,732	16,156,876	13,557,793	12,834,496	19,215,372	18,875,817	18,485,563
Market Cap	13,290,434	14,612,190	17,289,652	14,777,027	14,328,385	21,009,953	20,876,369	20,752,575
Total Debt	0	0	0	0	0	0	0	0
Cash Equivalent	1,004,572	940,458	1,132,776	1,219,234	1,493,889	1,794,581	2,000,552	2,267,012
Equity	2,159,171	2,461,196	2,758,058	3,077,874	3,413,911	3,852,840	4,175,782	4,555,596
Asset	2,324,037	2,650,429	2,964,792	3,289,224	3,670,655	4,083,363	4,377,063	4,727,151
IC	2,031,755	2,310,184	2,609,627	2,917,966	3,245,893	3,633,375	4,014,311	4,365,689
EBIT	418,045	498,914	495,014	549,775	595,759	778,712	883,614	981,511
EBITDA	418,045	498,914	495,014	565,075	613,059	796,912	902,714	1,001,611
NP	303,360	362,963	369,642	398,656	445,185	572,399	645,830	714,358
FCF	260,342	19,141	145,124	128,910	118,293	188,681	283,459	355,603

Note: Share prices for FY3/27e onward are based on the closing price as of August 13, 2026

Source: Company Data, Morgan Stanley Research; e = Morgan Stanley Research Estimates

Keyence: Income Statement

Income Statement (¥ mn)	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Revenue	755,174	922,422	967,288	1,059,145	1,169,289	1,446,613	1,640,128	1,821,613
COGS	133,984	167,690	164,782	171,444	198,552	227,118	257,500	285,993
Gross Profit	621,190	754,732	802,505	887,700	970,737	1,219,495	1,382,628	1,535,620
% of Sales	82.3%	81.8%	83.0%	83.8%	83.0%	84.3%	84.3%	84.3%
SG&A Expense	203,145	255,817	307,491	337,925	374,978	440,782	499,014	554,109
% of Sales	26.9%	27.7%	31.8%	31.9%	32.1%	30.5%	30.4%	30.4%
Labor Costs	108,076	133,569	154,150	169,695	188,667	231,458	262,420	291,458
% of Sales	14.3%	14.5%	15.9%	16.0%	16.1%	16.0%	16.0%	16.0%
Salary	95,429	119,549	139,149	152,959	168,844	0	0	0
Bonus	12,647	14,020	15,001	16,736	19,823	0	0	0
R&D	17,872	21,660	25,183	28,856	32,839	40,505	49,204	54,648
% of Sales	2.4%	2.3%	2.6%	2.7%	2.8%	2.8%	3.0%	3.0%
% of COGS	13.3%	12.9%	15.3%	16.8%	16.5%	0.0%	0.0%	0.0%
Others	0	0	0	139,374	153,472	168,819	187,389	208,002
Operating Profit	418,045	498,914	495,014	549,775	595,759	778,712	883,614	981,511
% of Sales	55.4%	54.1%	51.2%	51.9%	51.0%	53.8%	53.9%	53.9%
Forex Impact	23,900	0	0	22,400	1,800	29,000	-1,000	0
Real OP (Value & Growth%)	394,145	498,914	495,014	527,375	593,959	749,712	884,614	981,511
Non-Operating Items	13,195	13,915	24,281	11,235	39,997	39,000	39,000	39,000
Non-Operating Income	13,356	14,166	24,969	16,320	40,491	40,000	40,000	40,000
Equity Income	4,983	5,624	5,371	5,309	6,460	6,783	7,122	7,478
Non-Operating Expense	161	251	688	5,085	494	1,000	1,000	1,000
Recurring Profit	431,240	512,830	519,295	561,010	635,756	817,712	922,614	1,020,511
% of Sales	57.1%	55.6%	53.7%	53.0%	54.4%	56.5%	56.3%	56.0%
Extraordinary Gains	0	0	0	0	0	0	0	0
Extraordinary Losses	0	0	0	0	0	0	0	0
Pretax Profit	431,240	512,830	519,295	561,010	635,756	817,712	922,614	1,020,511
Tax Rate (%)	30%	29%	29%	29%	30%	30%	30%	30%
Taxes	127,880	149,866	149,653	162,353	190,570	245,314	276,784	306,153
Minority Interest	0	0	0	0	0	0	0	0
Net Profit	303,360	362,963	369,642	398,656	445,185	572,399	645,830	714,358

KPI	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
EPS	1,250.8	1,496.6	1,524.1	1,643.8	1,835.6	2,360.2	2,680	2,982.0
DPS	200	300	300	350	550	550	700	800
Shares outstanding (mn) calculated	243.2	243.2	243.2	243.2	243.2	243.2	243.2	243.2
R&D	17,872	21,660	25,183	28,900	32,900	40,505	49,204	54,648
YoY Growth								
Revenue	40.3%	22.1%	4.9%	9.5%	10.4%	23.7%	13.4%	11.1%
OP	51.1%	19.3%	-0.8%	11.1%	8.4%	30.7%	13.5%	11.1%
NP	53.8%	19.6%	1.8%	7.8%	11.7%	28.6%	12.8%	10.6%
Key Ratio								
Gross Margin	82.3%	81.8%	83.0%	83.8%	83.0%	84.3%	84.3%	84.3%
R&D / Sales	2.4%	2.3%	2.6%	2.7%	2.8%	2.8%	3.0%	3.0%
SGA /Sales	26.9%	27.7%	31.8%	31.9%	32.1%	30.5%	30.4%	30.4%
OPM	55.4%	54.1%	51.2%	51.9%	51.0%	53.8%	53.9%	53.9%
NPM	40.2%	39.3%	38.2%	37.6%	38.1%	39.6%	39.4%	39.2%
Payout Ratio	16.0%	20.0%	19.7%	21.3%	30.0%	23.3%	26.1%	30.0%

Source: Company Data, Morgan Stanley Research; e = Morgan Stanley Research Estimates

Keyence: Balance Sheet

Balance Sheet (¥ mn)	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Current Assets	1,322,569	1,336,098	1,531,827	1,632,589	1,979,505	2,380,745	2,662,345	2,999,733
Cash and Equivalents	1,004,572	940,458	1,132,776	1,219,234	1,493,889	1,794,581	2,000,552	2,267,012
Inventories	62,072	87,389	77,613	77,892	85,273	97,692	110,760	123,016
Accounts Receivable	247,901	297,785	307,526	320,312	379,590	467,672	530,233	588,905
Other Current Assets	8,024	10,466	13,912	15,151	20,753	20,800	20,800	20,800
Fixed Assets	1,001,467	1,314,331	1,432,965	1,656,634	1,691,149	1,702,618	1,714,718	1,727,418
PP&E	26,382	67,305	75,870	76,924	94,718	106,218	118,318	131,018
Intangible assets	3,516	3,692	4,792	6,338	29,181	29,200	29,200	29,200
Investments and other assets	971,569	1,243,333	1,352,302	1,573,372	1,567,250	1,567,200	1,567,200	1,567,200
Total Assets	2,324,037	2,650,429	2,964,792	3,289,224	3,670,655	4,083,363	4,377,063	4,727,151
Current Liabilities	146,552	149,261	145,362	168,040	187,831	192,456	194,537	196,489
Total ST Debt	0	0	0	0	0	0	0	0
Accounts Payable	15,911	18,381	13,725	14,890	10,890	15,556	17,637	19,589
Other Current Liabilities	130,641	130,880	131,637	153,150	176,941	176,900	176,900	176,900
Fixed Liabilities	3,901	9,533	13,236	12,631	11,351	11,400	11,400	11,400
Total LT Debt	0	0	0	0	0	0	0	0
Other Fixed Liabilities	0	0	0	0	0	0	0	0
Total Liabilities	150,453	158,795	158,599	180,672	199,183	203,856	205,937	207,889
Shareholders' Equity	2,159,171	2,461,196	2,758,058	3,077,874	3,413,911	3,852,840	4,175,782	4,555,596
Common Stock	30,637	30,637	30,637	30,637	30,637	30,600	30,600	30,600
Capital Surplus	30,541	30,541	30,541	30,541	30,544	30,500	30,500	30,500
Retained Earnings	2,101,779	2,403,814	2,700,699	3,020,535	3,356,584	3,795,594	4,272,736	4,795,450
Treasury Stock	-3,785	-3,796	-3,819	-3,838	-3,854	-3,854	-158,054	-300,954
Accumulated Comprehensive Income	14,411	30,437	48,135	30,677	57,560	26,667	26,700	26,700
Minority Interest	0	0	0	0	0	0	0	0
Total Debt & Equity	2,324,037	2,650,429	2,964,792	3,289,224	3,670,655	4,083,363	4,377,063	4,727,151
Key Metrics	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Total Debt	0	0	0	0	0	0	0	0
Net Debt	-1,004,572	-940,458	-1,132,776	-1,219,234	-1,493,889	-1,794,581	-2,000,552	-2,267,012
Capital	2,159,171	2,461,196	2,758,058	3,077,874	3,413,911	3,852,840	4,175,782	4,555,596
Key Ratios								
Current Ratio (x)	9.0	9.0	10.5	9.7	10.5	12.4	13.7	15.3
Quick Ratio (x)	8.5	8.3	9.9	9.2	10.0	11.8	13.0	14.5
Debt/Equity	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Net Debt/Equity	-46.5%	-38.2%	-41.1%	-39.6%	-43.8%	-46.6%	-47.9%	-49.8%
Total Debt/Capital	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Equity/Assets	93.5%	94.0%	94.7%	94.5%	94.6%	94.4%	95.4%	96.4%
ROE	14.0%	14.7%	13.4%	13.0%	13.0%	14.9%	15.5%	15.7%
ROA	13.1%	13.7%	12.5%	12.1%	12.1%	14.0%	14.8%	15.1%

Source: Company Data, Morgan Stanley Research; e = Morgan Stanley Research Estimates

Keyence: Cash Flow Statement

Cash Flow Statement	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Cash Flow from Operations	271,476	302,628	387,916	409,522	430,680	500,481	596,759	670,503
Pretax Profit	431,240	512,830	519,295	561,010	635,756	817,712	922,614	1,020,511
Depreciation	8,621	11,523	13,767	15,193	17,227	18,200	19,100	20,100
Equity Method Income	-4,983	-5,624	-5,371	-5,309	-6,460	-6,783	-7,122	-7,478
Income Taxes Paid	-97,210	-156,884	-155,798	-148,699	-181,644	-245,314	-276,784	-306,153
Net Working Investments	-74,022	-58,345	11,346	-18,167	-46,797	-95,835	-73,548	-68,976
Directors' Bonus	0	0	0	0	0	0	0	0
Others	7,830	-872	4,677	5,494	12,598	12,500	12,500	12,500
Cash Flow from Investing	-11,134	-283,487	-242,792	-280,612	-312,387	-311,800	-313,300	-314,900
Capital Expenditure	-6,162	-39,345	-12,492	-14,342	-28,371	-29,700	-31,200	-32,800
Investment & Others	-4,972	-244,142	-230,300	-266,270	-284,016	-282,100	-282,100	-282,100
Cash Flow from Financing	-49,817	-63,666	-76,306	-83,430	-113,722	-137,989	-327,488	-339,143
Dividends Paid	-48,505	-60,631	-72,757	-78,820	-109,136	-133,389	-168,688	-191,643
Share Buyback	-22	-10	-23	-19	-12	0	-154,200	-142,900
Others	-1,290	-3,025	-3,526	-4,591	-4,574	-4,600	-4,600	-4,600
Net Increase in Cash Balance	0	-52,163	62,063	45,650	-446	50,692	-44,029	16,460
FCF	260,342	19,141	145,124	128,910	118,293	188,681	283,459	355,603

Source: Company Data, Morgan Stanley Research; e = Morgan Stanley Research Estimates

SMC: Segment Earnings Estimate

Segment Revenue (¥ mn)	New Estimates								YoY		
	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e	F3/27e	F3/28e	F3/29e
Sales	727,397	824,772	776,873	792,108	842,541	1,047,409	1,167,324	1,274,869	24.3%	11.4%	9.2%
Japan	180,463	184,016	165,618	163,832	162,956	194,602	216,846	234,823	19.4%	11.4%	8.3%
North America	105,225	128,649	128,402	119,533	106,331	123,577	135,193	147,354	16.2%	9.4%	9.0%
Greater China	202,280	235,316	200,580	222,017	255,690	344,063	384,938	423,643	34.6%	11.9%	10.1%
Other Asia	108,180	138,215	119,347	127,208	133,251	172,372	200,502	221,737	29.4%	16.3%	10.6%
Europe	118,475	138,574	143,774	140,052	159,689	183,989	198,735	214,646	15.2%	8.0%	8.0%
Others	12,771	16,513	19,150	19,463	24,621	28,807	31,111	32,667	17.0%	8.0%	5.0%
Sales by Industry											
Consolidated sales			776,873	792,108	842,541	1,047,409	1,167,324	1,274,869	24.3%	11.4%	9.2%
Semiconductor			233,062	150,501	168,508	262,497	316,642	360,487	55.8%	20.6%	13.8%
Electric				87,132	101,105	136,779	149,015	160,808	35.3%	8.9%	7.9%
Automobile			147,606	134,658	143,232	170,823	181,313	190,178	19.3%	6.1%	4.9%
Machine tools			85,456	79,211	84,254	112,620	126,722	139,248	33.7%	12.5%	9.9%
Food			38,844	55,448	58,978	66,286	70,769	74,836	12.4%	6.8%	5.7%
Medical			46,612	47,526	50,552	57,053	62,703	68,901	12.9%	9.9%	9.9%
Other			225,293	237,632	235,911	241,351	260,160	280,412	2.3%	7.8%	7.8%
Ratio of Sales by Industry											
Semiconductor				19.0%	20.0%	25.1%	27.1%	28.3%			
Electric			30.0%	11.0%	12.0%	13.1%	12.8%	12.6%			
Automobile				17.0%	17.0%	16.3%	15.5%	14.9%			
Machine tools				10.0%	10.0%	10.8%	10.9%	10.9%			
Food				7.0%	7.0%	6.3%	6.1%	5.9%			
Medical				6.0%	6.0%	5.4%	5.4%	5.4%			
Other				29.0%	30.0%	28.0%	23.0%	22.0%			

Source: Company Data, Morgan Stanley Research; e = Morgan Stanley Research Estimates

SMC: Valuation

Valuation	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Stock Price (¥)	68,840	69,830	84,830	53,070	59,870	77,330	77,330	77,330
P/E	23.5	20.3	30.7	21.7	22.7	22.5	20.7	19.1
P/B	2.9	2.6	2.9	1.7	1.8	2.2	2.1	2.0
EV/EBITDA	18.3	16.0	23.8	15.0	16.1	15.0	13.5	12.3
EV/EBIT	19.9	17.6	27.9	17.7	19.9	18.6	16.9	15.4
EV/Sales	6.2	5.5	7.0	4.2	4.5	4.6	4.1	3.7
FCF Yield	0.9%	0.3%	-0.6%	6.9%	2.1%	1.4%	0.1%	2.9%
Dividend Yield	0.9%	1.3%	1.1%	1.9%	1.7%	1.3%	1.3%	1.3%
ROE	13.3%	14.3%	10.8%	9.1%	9.3%	11.2%	11.4%	11.4%
ROA	10.9%	11.7%	8.5%	7.4%	7.2%	9.0%	9.3%	9.5%
ROIC	13.6%	14.8%	11.0%	9.2%	9.5%	11.5%	11.7%	11.8%
Other Metrics								
Shares Outstanding	66	65	64	63	63	62	62	61
EPS	2,924	3,445	2,767	2,445	2,640	3,433	3,742	4,058
DPS	750	900	950	1,000	1,000	1,000	1,000	1,000
BPS	23,864	26,392	29,405	30,541	33,501	35,181	37,180	39,510
EV	3,858,478	3,942,105	4,968,860	2,682,590	3,087,411	4,166,762	4,220,136	4,143,390
Market Cap	4,543,988	4,553,415	5,467,080	3,363,098	3,794,021	4,828,842	4,775,141	4,721,439
Total Debt	11,543	12,186	13,070	5,041	5,092	5,092	5,092	5,092
Cash Equivalent	697,053	623,496	511,290	685,549	711,702	667,172	560,097	583,141
Equity	1,455,489	1,566,266	1,655,906	1,724,298	1,806,207	1,908,170	2,027,496	2,164,216
Asset	1,769,951	1,927,940	2,094,559	2,100,767	2,311,835	2,383,633	2,485,176	2,603,852
IC	1,415,110	1,522,742	1,623,714	1,699,158	1,770,319	1,862,280	1,972,925	2,100,948
EBIT	227,857	258,200	196,226	190,244	190,558	259,360	282,860	306,380
EBITDA	248,414	283,967	229,581	224,552	235,404	321,660	353,160	384,680
NP	192,991	224,609	178,321	156,344	167,302	214,392	231,077	247,776
FCF	39,878	14,531	-33,693	231,890	81,406	68,515	5,275	134,700

Note: Share prices for FY3/27e onward are based on the closing price as of August 13, 2026

Source: Company Data, Morgan Stanley Research; e = Morgan Stanley Research Estimates

SMC: Income Statement

Income Statement (¥ mn)	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Sales	727,397	824,772	776,873	792,108	842,541	1,047,409	1,167,324	1,274,869
CoGS	363,546	403,613	413,796	429,070	461,089	572,933	638,526	697,353
Gross Profit	363,851	421,159	363,077	363,038	381,452	474,476	528,798	577,516
% of Sales	50.0%	51.1%	46.7%	45.8%	45.3%	45.3%	45.3%	45.3%
SG&A Expense	135,993	162,958	166,851	172,793	190,893	215,116	245,938	271,136
% of Sales	18.7%	19.8%	21.5%	21.8%	22.7%	20.5%	21.1%	21.3%
Operating Profit	227,857	258,200	196,226	190,244	190,558	259,360	282,860	306,380
% of Sales	31.3%	31.3%	25.3%	24.0%	22.6%	24.8%	24.2%	24.0%
Non-Operating Items	45,124	47,781	54,783	19,677	45,033	42,600	42,600	42,600
Net Interest Payments	6,530	11,617	18,379	20,163	19,955	20,000	20,000	20,000
Equity Income	0	0	0	0	0	0	0	0
Other Income	38,914	36,294	36,502	4,151	25,423	22,900	22,900	22,900
Other Expenses	320	130	98	4,637	344	300	300	300
Recurring Profit	272,981	305,980	251,008	209,921	235,591	301,960	325,460	348,980
Extraordinary Gains	581	3,663	1,968	1,816	4,439	0	0	0
Extraordinary Losses	711	867	324	669	3,041	0	0	0
Pretax Profit	272,851	308,776	252,652	211,068	236,989	301,960	325,460	348,980
Taxes	79,527	83,871	74,300	54,608	69,677	87,568	94,383	101,204
Tax Rate (%)	29.1%	27.2%	29.4%	25.9%	29.4%	29.0%	29.0%	29.0%
Net Income (Non-controlling)	-331	-296	-32	-115	-9	0	0	0
Net Income (for Shareholders)	192,991	224,609	178,321	156,344	167,302	214,392	231,077	247,776

KPI	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
EPS	2,924	3,445	2,767	2,445	2,640	3,433	3,742	4,058
DPS	750	900	950	1,000	1,000	1,000	1,000	1,000
Shares Outstanding (mn)	66	65	64	63	63	62	62	61
R&D	23,457	27,361	31,141	33,351	39,986	47,000	52,000	58,000
YoY Growth								
Revenue	31.7%	13.4%	-5.8%	2.0%	6.4%	24.3%	11.4%	9.2%
OP	48.6%	13.3%	-24.0%	-3.0%	0.2%	36.1%	9.1%	8.3%
NP	58.5%	16.4%	-20.6%	-12.3%	7.0%	28.1%	7.8%	7.2%
Key Ratio								
Gross Margin	50.0%	51.1%	46.7%	45.8%	45.3%	45.3%	45.3%	45.3%
R&D / Sales	3.2%	3.3%	4.0%	4.2%	4.7%	4.5%	4.5%	4.5%
SG&A /Sales	18.7%	19.8%	21.5%	21.8%	22.7%	20.5%	21.1%	21.3%
OPM	31.3%	31.3%	25.3%	24.0%	22.6%	24.8%	24.2%	24.0%
NPM	26.5%	27.2%	23.0%	19.7%	19.9%	20.5%	19.8%	19.4%
Payout Ratio	25.7%	26.1%	34.3%	40.9%	37.9%	29.1%	26.7%	24.6%

Source: Company Data, Morgan Stanley Research; e = Morgan Stanley Research Estimates

SMC: Balance Sheet

Balance Sheet (¥ mn)	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Current Assets	1,258,406	1,323,848	1,307,990	1,421,842	1,504,291	1,538,424	1,630,267	1,747,243
Cash and Equivalents	697,053	623,496	511,290	685,549	711,702	667,172	560,097	583,141
Inventories	303,544	418,601	519,557	489,660	506,697	533,691	699,755	764,223
Trade Receivables & Contracts	211,939	228,848	217,671	207,969	235,325	286,961	319,815	349,279
Other Current Assets	45,870	52,903	59,472	38,664	50,567	50,600	50,600	50,600
Non-current Assets	511,545	604,092	786,568	678,925	807,544	845,209	854,909	856,609
PP&E	270,584	326,995	413,558	478,717	618,009	655,709	665,409	667,109
Other Non-current Assets	15,183	16,591	17,332	16,110	16,142	16,100	16,100	16,100
Total Assets	1,769,951	1,927,940	2,094,559	2,100,767	2,311,835	2,383,633	2,485,176	2,603,852
Current Liabilities	169,403	188,847	164,600	135,639	145,670	135,868	138,383	140,640
Total ST Debt	6,987	7,137	7,342	5,041	5,092	5,092	5,092	5,092
Trade Payables	62,101	73,636	58,818	46,898	31,822	21,976	24,491	26,748
Other Current Liabilities	100,315	108,074	98,440	83,700	108,756	108,800	108,800	108,800
Non-Current Liabilities	41,274	36,767	44,088	36,821	50,925	50,900	50,900	50,900
LT Debt and Bonds	4,556	5,049	5,728	0	0	0	0	0
Other Non-current Liabilities	210,677	225,615	208,688	172,461	196,595	186,768	189,283	191,540
Total Liabilities	210,677	225,615	208,688	172,461	196,595	186,768	189,283	191,540
Total Shareholders' Equity	1,459,134	1,570,178	1,660,190	1,724,323	1,806,356	1,908,270	2,027,596	2,164,316
Parent's Shareholders' Equity	1,455,489	1,566,266	1,655,906	1,724,298	1,806,207	1,908,170	2,027,496	2,164,216
Non-controlling Interests	3,645	3,912	4,284	25	149	100	100	100
Liabilities + Shareholders' Equity	1,769,951	1,927,940	2,094,559	2,100,767	2,311,835	2,383,633	2,485,176	2,603,852

Key Measures	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Total Debt	11,543	12,186	13,070	5,041	5,092	5,092	5,092	5,092
Net Debt	-685,510	-611,310	-498,220	-680,508	-706,610	-662,080	-555,005	-578,049
Capital	1,455,489	1,566,266	1,655,906	1,724,298	1,806,207	1,908,170	2,027,496	2,164,216
Key Ratios								
Current Ratio (x)	7.4	7.0	7.9	10.5	10.3	11.3	11.8	12.4
Quick Ratio (x)	5.4	4.5	4.4	6.6	6.5	7.0	6.4	6.6
Debt/Equity	1%	1%	1%	0%	0%	0%	0%	0%
Net Debt/Equity	-47.1%	-39.0%	-30.1%	-39.5%	-39.1%	-34.7%	-27.4%	-26.7%
Equity/Assets	88%	88%	90%	92%	91%	92%	92%	93%
ROE	13.3%	14.3%	10.8%	9.1%	9.3%	11.2%	11.4%	11.4%
ROA	10.9%	11.7%	8.5%	7.4%	7.2%	9.0%	9.3%	9.5%

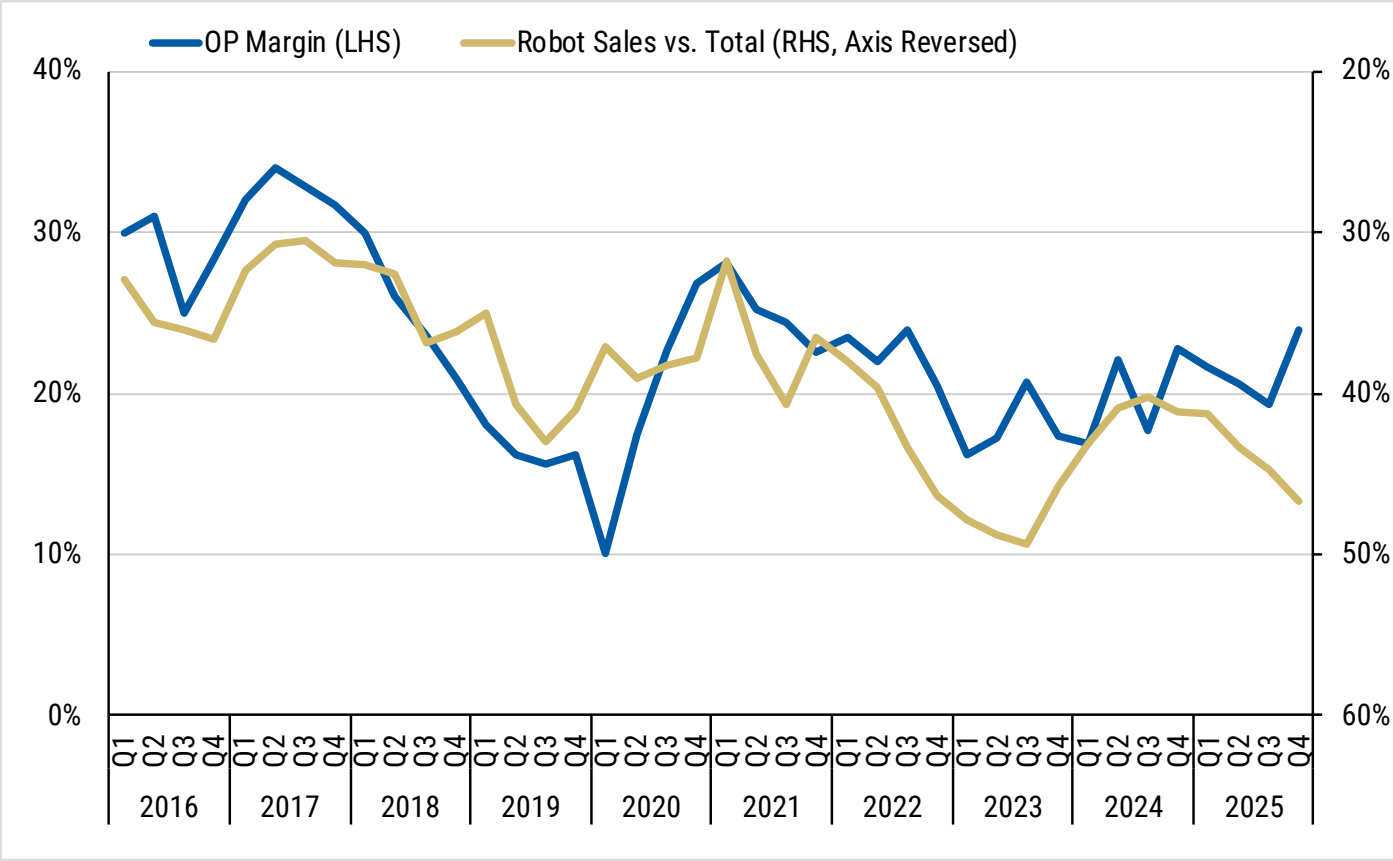
Source: Company Data, Morgan Stanley Research; e = Morgan Stanley Research Estimates

SMC: Cash Flow Statement

Cash Flow Statement (¥ mn)	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Cash Flows from Operations	156,093	101,617	98,207	196,656	188,917	166,215	82,975	212,400
Pretax Profit	272,851	308,776	252,652	211,068	236,989	301,960	325,460	348,980
Depreciation	20,557	25,767	33,355	34,308	44,846	62,300	70,300	78,300
Income Taxes Paid	-61,969	-91,581	-89,671	-66,725	-50,271	-87,568	-94,383	-101,204
Net Working Investments	-61,969	-91,581	-89,671	-66,725	-50,271	-87,568	-94,383	-101,204
Others	-27,837	-30,935	-28,470	-12	-21,966	-22,000	-22,000	-22,000
Cash Flows from Investing	-116,215	-87,086	-131,900	35,234	-107,511	-97,700	-77,700	-77,700
Capital Expenditure	-77,588	-72,180	-102,347	-106,739	-152,701	-100,000	-80,000	-80,000
Investment & Others	-38,627	-14,906	-29,553	141,973	45,190	2,300	2,300	2,300
Cash Flows from Financing	-88,933	-113,299	-87,928	-100,202	-94,119	-113,045	-112,350	-111,656
Dividends Paid	-39,631	-58,776	-58,063	-64,048	-63,535	-62,445	-61,750	-61,056
Purchase of Treasury Stock	-50,020	-55,030	-30,628	-25,018	-30,018	-50,000	-50,000	-50,000
Others	718	507	763	-11,136	-566	-600	-600	-600
End of Period Cash Equivalents	559,296	491,324	405,586	531,649	573,769	529,239	422,164	445,208
FCF	39,878	14,531	-33,693	231,890	81,406	68,515	5,275	134,700

Source: Company Data, Morgan Stanley Research; e = Morgan Stanley Research Estimates

Fanuc: Robot Sales Exposure vs. Profit Margin



Source: Company data, Morgan Stanley Research

Fanuc: Segment Earnings Estimate

Segment Sales (¥ mn)									YoY		
	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e	F3/27e	F3/28e	F3/29e
Sales	733,008	851,956	795,274	797,129	857,831	982,330	1,079,520	1,157,420	14.5%	9.9%	7.2%
FA Division	226,165	250,113	180,384	194,824	208,478	249,090	283,300	304,080	19.5%	13.7%	7.3%
Japan	54,000	65,900	44,700	44,000	50,100	57,620	69,140	76,050	15.0%	20.0%	10.0%
US	4,300	7,800	7,800	5,900	5,400	7,060	8,050	8,860	30.7%	14.0%	10.1%
Europe	17,400	22,200	23,200	14,600	15,300	18,050	19,490	21,050	18.0%	8.0%	8.0%
Asia & Others	150,500	154,102	106,431	130,324	137,678	166,360	186,620	198,120	20.8%	12.2%	6.2%
China	71,500	68,700	43,100	69,500	77,700	99,300	114,200	119,910	27.8%	15.0%	5.0%
Other Asia	79,000	85,402	63,331	60,824	59,978	67,060	72,420	78,210	11.8%	8.0%	8.0%
Robot Division	268,478	356,984	380,944	329,566	378,610	426,590	464,790	496,550	12.7%	9.0%	6.8%
Japan	19,500	20,500	23,200	26,400	23,100	25,410	27,950	30,190	10.0%	10.0%	8.0%
US	99,400	134,200	161,100	145,500	161,000	178,400	196,240	211,940	10.8%	10.0%	8.0%
Europe	56,500	70,900	87,200	72,400	79,800	90,160	97,370	103,210	13.0%	8.0%	6.0%
Asia & Others	93,100	131,355	109,465	85,266	114,710	132,620	143,230	151,210	15.6%	8.0%	5.6%
China	62,300	113,600	86,900	57,800	91,800	107,230	115,810	121,600	16.8%	8.0%	5.0%
Other Asia	30,800	17,755	22,565	27,466	22,910	25,390	27,420	29,610	10.8%	8.0%	8.0%
Robotmachine	144,633	132,788	103,388	137,588	129,600	150,420	162,210	173,470	16.1%	7.8%	6.9%
Japan	16,100	17,000	12,000	12,400	10,300	11,330	12,460	13,710	10.0%	10.0%	10.0%
US	11,700	11,300	6,400	6,800	9,200	10,380	11,420	12,560	12.8%	10.0%	10.0%
Europe	19,900	22,500	21,500	17,500	16,300	18,090	19,540	21,100	11.0%	8.0%	8.0%
Asia & Others	96,900	81,998	58,595	100,888	93,800	110,620	118,790	126,100	17.9%	7.4%	6.2%
China	75,900	60,700	38,500	56,800	55,700	68,400	73,190	76,850	22.8%	7.0%	5.0%
Other Asia	21,000	21,298	20,095	44,088	38,100	42,220	45,600	49,250	10.8%	8.0%	8.0%
Service Division	93,732	112,071	130,558	135,151	141,143	156,230	169,220	183,320	10.7%	8.3%	8.3%
Japan	21,600	22,000	25,200	26,300	27,400	30,140	33,150	36,470	10.0%	10.0%	10.0%
US	34,300	46,300	53,800	56,100	56,500	63,170	68,220	73,680	11.8%	8.0%	8.0%
Europe	27,100	31,200	36,700	38,100	40,900	44,980	48,580	52,470	10.0%	8.0%	8.0%
Asia & Others	10,600	12,587	14,812	14,651	16,343	17,940	19,270	20,700	9.8%	7.4%	7.4%
China	2,800	2,800	3,200	2,600	3,300	3,620	3,800	3,990	9.7%	5.0%	5.0%
Other Asia	7,800	9,787	11,612	12,051	13,043	14,320	15,470	16,710	9.8%	8.0%	8.0%

Source: Company Data, Morgan Stanley Research; e = Morgan Stanley Research Estimates

Fanuc: Valuation

Valuation	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Stock Price (¥)	4,329	4,760	4,185	4,060	5,302	6,505	6,505	6,505
P/E	26.7	26.7	29.8	25.8	29.7	30.2	26.5	24.4
P/B	2.7	2.8	2.3	2.2	2.7	3.2	3.2	3.2
EV/EBITDA	15.4	16.7	18.0	15.6	18.1	19.2	17.1	15.9
EV/EBIT	19.4	21.0	24.2	20.2	22.8	23.2	20.2	18.6
EV/Sales	4.8	4.7	4.3	4.0	4.9	5.4	5.0	4.7
FCF Yield	1.7%	0.5%	4.0%	3.2%	3.9%	1.9%	2.4%	2.9%
Dividend Yield	2.1%	2.1%	2.3%	2.2%	1.9%	2.0%	2.3%	2.5%
ROE	10.6%	11.2%	8.6%	9.4%	10.3%	11.9%	13.1%	13.9%
ROA	9.1%	9.3%	7.0%	7.6%	8.3%	9.5%	10.7%	11.7%
ROIC	10.6%	11.2%	8.6%	9.4%	10.3%	11.9%	13.1%	13.9%
Other Metrics (¥ mn)								
Shares Outstanding	959	953	946	933	933	933	933	933
EPS	162	179	140	157	178	215	245	267
DPS	97	107	84	94	107	129	147	160
BPS	1,601	1,691	1,796	1,838	1,998	2,036	2,031	2,033
EV	3,550,671	4,018,432	3,434,952	3,201,879	4,193,702	5,319,056	5,358,646	5,383,653
Market Cap	4,151,886	4,547,660	3,974,031	3,808,383	4,947,573	6,070,155	6,070,155	6,070,155
Total Debt	0	0	0	0	0	0	0	0
Cash Equivalent	601,215	529,228	539,079	606,504	753,871	751,099	711,510	686,503
Equity	1,500,705	1,550,735	1,561,834	1,576,929	1,648,657	1,729,046	1,770,502	1,820,138
Asset	1,783,964	1,873,536	1,926,037	1,937,031	2,090,700	2,131,557	2,131,626	2,137,160
IC	1,466,362	1,525,720	1,556,285	1,569,382	1,612,793	1,688,851	1,749,774	1,795,320
EBIT	183,240	191,359	141,919	158,846	183,763	229,680	264,870	290,200
EBITDA	230,317	240,548	190,920	205,294	231,545	277,462	312,652	337,982
NP	155,273	170,587	133,159	147,557	166,543	200,994	228,642	249,089
FCF	71,652	21,507	158,201	121,189	194,459	117,824	147,596	174,447

Note: Share prices for FY3/27e onward are based on the closing price as of August 13, 2026

Source: Company Data, Morgan Stanley Research; e = Morgan Stanley Research Estimates

Fanuc: Income Statement

Income Statement (¥ mn)	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Sales	733,008	851,956	795,274	797,129	857,831	982,330	1,079,520	1,157,420
CoGS	437,374	526,549	519,430	502,204	529,365	589,398	647,712	694,452
Gross Profit	295,634	325,407	275,844	294,925	328,466	392,932	431,808	462,968
% of Sales	40.3%	38.2%	34.7%	37.0%	38.3%	40.0%	40.0%	40.0%
SG&A Expense	112,394	134,048	133,925	136,079	144,703	163,252	166,938	172,768
% of Sales	15.3%	15.7%	16.8%	17.1%	16.9%	16.6%	15.5%	14.9%
Operating Profit	183,240	191,359	141,919	158,846	183,763	229,680	264,870	290,200
% of Sales	25.0%	22.5%	17.8%	19.9%	21.4%	23.4%	24.5%	25.1%
Non-Operating Items	30,155	39,968	39,836	37,892	43,722	45,852	48,025	50,326
Net Interest Payments	3,192	5,761	6,822	9,472	10,907	11,452	12,025	12,626
Equity Income	23,126	32,371	27,540	28,040	30,531	32,100	33,700	35,400
Other Income	5,956	5,093	8,901	4,828	6,110	6,100	6,100	6,100
Other Expenses	2,119	3,257	3,427	4,448	3,826	3,800	3,800	3,800
Recurring Profit	213,395	231,327	181,755	196,738	227,485	275,532	312,895	340,526
Extraordinary Gains	0	0	0	0	0	0	0	0
Extraordinary Losses	478	1,224	0	0	0	0	0	0
Pretax Profit	212,917	230,103	181,755	196,738	227,485	275,532	312,895	340,526
Taxes	54,427	56,189	46,268	45,391	58,088	71,638	81,353	88,537
Tax Rate (%)	25.6%	24.4%	25.5%	23.1%	25.5%	26.0%	26.0%	26.0%
Net Income (Non-controlling)	-3,217	-3,327	-2,328	-3,790	-2,854	-2,900	-2,900	-2,900
Net Income (for Shareholders)	155,273	170,587	133,159	147,557	166,543	200,994	228,642	249,089

KPI	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
EPS	161.9	178.6	140.2	157.3	178.5	215.4	245.0	266.9
DPS	97.1	107.1	84.1	94.4	107.1	129.2	147.0	160.2
Shares Outstanding (mn)	959	953	946	933	933	933	933	933
R&D	49,970	51,941	49,813	46,700	45,000	49,100	54,000	57,900
YoY Growth								
Revenue	33.0%	16.2%	-6.7%	0.2%	7.6%	14.5%	9.9%	7.2%
OP	62.9%	4.4%	-25.8%	11.9%	15.7%	25.0%	15.3%	9.6%
NP	65.2%	9.9%	-21.9%	10.8%	12.9%	20.7%	13.8%	8.9%
Key Ratio								
Gross Margin	40.3%	38.2%	34.7%	37.0%	38.3%	40.0%	40.0%	40.0%
R&D / Sales	6.8%	6.1%	6.3%	5.9%	5.2%	5.0%	5.0%	5.0%
SG&A /Sales	15.3%	15.7%	16.8%	17.1%	16.9%	16.6%	15.5%	14.9%
OPM	25.0%	22.5%	17.8%	19.9%	21.4%	23.4%	24.5%	25.1%
NPM	21.2%	20.0%	16.7%	18.5%	19.4%	20.5%	21.2%	21.5%
Payout Ratio	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%

Source: Company Data, Morgan Stanley Research; e = Morgan Stanley Research Estimates

Fanuc: Balance Sheet

Balance Sheet (¥ mn)	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Current Assets	1,014,946	1,061,740	1,076,265	1,085,787	1,237,026	1,290,723	1,302,524	1,318,708
Cash and Equivalents	601,215	529,228	539,079	606,504	753,871	751,099	711,510	686,503
Inventories	249,564	350,577	362,546	306,439	292,186	322,958	354,911	380,522
Trade Receivables and Contract Assets	150,195	162,785	155,921	156,437	170,775	196,466	215,904	231,484
Other Current Assets	13,972	19,150	18,719	16,407	20,194	20,200	20,200	20,200
Non-current Assets	769,018	811,796	849,772	851,244	853,674	840,834	829,102	818,452
PP&E	578,133	588,696	607,755	604,266	591,416	578,634	566,902	556,252
Other Non-current Assets	190,885	223,100	242,017	246,978	262,258	262,200	262,200	262,200
Total Assets	1,783,964	1,873,536	1,926,037	1,937,031	2,090,700	2,131,557	2,131,626	2,137,160
Current Liabilities	177,602	183,955	156,890	157,586	179,457	184,873	189,986	194,083
Total ST Debt	0	0	0	0	0	0	0	0
Trade Payables	49,473	56,935	42,938	37,454	46,262	51,673	56,786	60,883
Other Current Liabilities	128,129	127,020	113,952	120,132	133,195	133,200	133,200	133,200
Non-Current Liabilities	56,483	62,026	49,947	39,555	28,296	28,300	28,300	28,300
LT Debt and Bonds	0	0	0	0	0	0	0	0
Other Non-current Liabilities	56,483	62,026	49,947	39,555	28,296	28,300	28,300	28,300
Total Liabilities	234,085	245,981	206,837	197,141	207,753	213,173	218,286	222,383
Total Shareholders' Equity	1,514,775	1,562,914	1,575,478	1,592,274	1,666,733	1,747,146	1,788,602	1,838,238
Parent's Shareholders' Equity	1,500,705	1,550,735	1,561,834	1,576,929	1,648,657	1,729,046	1,770,502	1,820,138
Non-controlling Interests	14,070	12,179	13,644	15,345	18,076	18,100	18,100	18,100
Liabilities + Shareholders' Equity	1,783,964	1,873,536	1,926,037	1,937,031	2,090,700	2,131,557	2,131,626	2,137,160

Key Measures	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Total Debt	0	0	0	0	0	0	0	0
Net Debt	-601,215	-529,228	-539,079	-606,504	-753,871	-751,099	-711,510	-686,503
Capital	1,500,705	1,550,735	1,561,834	1,576,929	1,648,657	1,729,046	1,770,502	1,820,138
Key Ratios								
Current Ratio (x)	5.7	5.8	6.9	6.9	6.9	7.0	6.9	6.8
Quick Ratio (x)	4.2	3.8	4.4	4.8	5.2	5.1	4.9	4.7
Debt/Equity	0%	0%	0%	0%	0%	0%	0%	0%
Net Debt/Equity	-40.1%	-34.1%	-34.5%	-38.5%	-45.7%	-43.4%	-40.2%	-37.7%
Equity/Assets	84.1%	82.8%	81.1%	81.4%	78.9%	81.1%	83.1%	85.2%
ROE	10.6%	11.2%	8.6%	9.4%	10.3%	11.9%	13.1%	13.9%
ROA	9.1%	9.3%	7.0%	7.6%	8.3%	9.5%	10.7%	11.7%

Source: Company Data, Morgan Stanley Research; e = Morgan Stanley Research Estimates

Fanuc: Cash Flow Statement

Cash Flow Statement (¥ mn)	F3/22	F3/23	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Cash Flows from Operations	125,581	99,505	171,764	255,273	250,896	188,124	218,946	246,878
Pretax Profit	212,917	230,103	181,755	196,738	227,485	275,532	312,895	340,526
Depreciation	47,077	49,189	49,001	46,448	47,782	47,782	47,782	47,782
Equity-method Income	-43,332	-78,480	-71,503	-32,363	-46,095	-71,638	-81,353	-88,537
Income Taxes Paid	-23,126	-32,371	-27,540	-28,040	-30,531	-32,100	-33,700	-35,400
Net Working Investments	-86,480	-89,862	18,542	43,396	32,679	-51,052	-46,278	-37,093
Others	18,525	20,926	21,509	29,094	19,576	19,600	19,600	19,600
Cash Flows from Investing	-53,929	-77,998	-13,563	-134,084	-56,437	-70,300	-71,350	-72,432
Capital Expenditure	-34,363	-47,066	-53,884	-40,805	-21,181	-35,000	-36,050	-37,132
Investment & Others	-19,566	-30,932	40,321	-93,279	-35,256	-35,300	-35,300	-35,300
Cash Flows from Financing	-89,154	-127,924	-122,514	-136,618	-98,598	-120,596	-187,185	-199,454
Dividends Paid	-86,799	-96,485	-90,096	-83,133	-94,459	-120,596	-137,185	-149,454
Purchase of Treasury Stock	-234	-24,436	-28,391	-49,555	-553	0	-50,000	-50,000
Others	-2,121	-7,003	-4,027	-3,930	-3,586	0	0	0
End of Period Cash Equivalents	574,655	476,953	526,881	502,091	615,075	612,303	572,714	547,707
FCF	71,652	21,507	158,201	121,189	194,459	117,824	147,596	174,447

Source: Company Data, Morgan Stanley Research; e = Morgan Stanley Research Estimates

Valuation Methodology and Risks

SMC (6273.T)

Our price target is derived by applying the 3-year average multiple of 23x to our F3/28 estimates, based on 12-month forward consensus forecasts.

Risks to Upside

- Stronger-than-expected growth in demand for automation equipment.
- Market share gain for chillers in semiconductor industry
- Earlier contribution from the expansion of the sales force

Risks to Downside

- Capex trends, falling sales prices for pneumatic equipment and swings in inventory value, surging materials prices.
- Intensive
- We est. OP sensitivity to ¥1 changes in FX is ¥300mn vs. USD and ¥700mn vs. EUR.

Keyence (6861.T)

F3/28e EPS ¥2,680 x P/E 39.5x. Our price target is based on the 12-month forward consensus estimates, applying essentially the 5-year average multiple of 39.5x as the benchmark. Valuation had de-rated to some extent on the back of waning appetite for shareholder returns, but with Keyence signaling its intent to execute share buybacks, we see the 5-year average valuation as achievable.

Risks to Upside

- Reinforcement of shareholder returns
- Faster recovery in capex, esp. in automotive/electronics sector
- Progress on overseas business development, where the company is still in growth phase

Risks to Downside

- Forex movements, and delayed recovery in overall capex, especially in the automotive/electronics sector
- We estimate OP sensitivity to ¥1 changes in FX rates is ¥0.9bn vs. USD and ¥0.5bn vs. EUR.

Fanuc (6954.T)

Our price target is based on 12-month forward consensus estimates, applying a target P/E of 30x. This builds in a 10% premium to the 3-year average multiple of 27x, to reflect growing market expectations for Physical AI. Price target is set on F3/28 estimates.

Risks to Upside

- Economic trends, particularly private manufacturing capex in semiconductor/automotive industry
- Robots' broader application along with the rise of Physical AI

Risks to Downside

- Economic trends, particularly private manufacturing capex like automotive industry
- Stronger yen
- Decelerated purchase of treasury stocks
- More aggressive capex than expected during periods of strong demand

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Global Stock Ratings Distribution

(as of July 31, 2026)

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Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

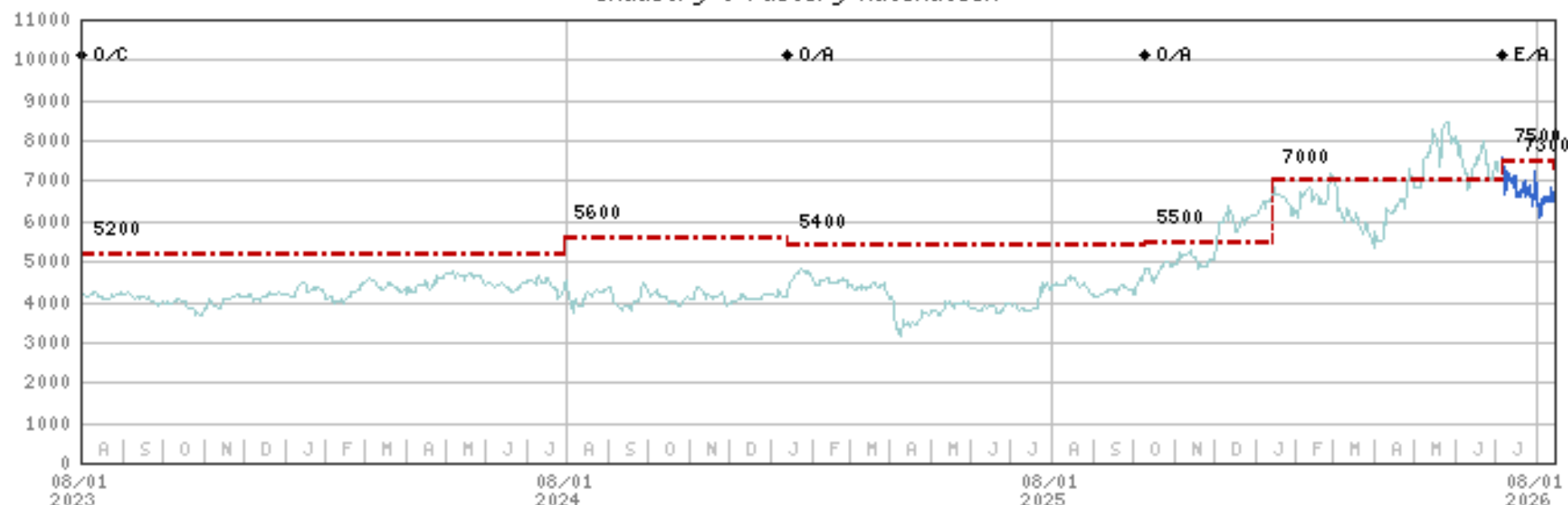
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Stock Price, Price Target and Rating History (See Rating Definitions)

Fanuc (6954.T) - As of 08/14/26 GMT in JPY
Industry : Factory Automation



Stock Rating History: 8/1/21 : E/C; 10/15/21 : O/C; 1/14/25 : O/A; 10/10/25 : O/A; 7/6/26 : E/A

Price Target History: 7/27/21 : 5000; 10/15/21 : 5800; 10/27/22 : 5400; 7/31/23 : 5200; 7/29/24 : 5600; 1/14/25 : 5400; 10/10/25 : 5500; 1/13/26 : 7000; 7/6/26 : 7500; 8/13/26 : 7300

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Keyence (6861.T) - As of 08/14/26 GMT in JPY
Industry : Factory Automation



Stock Rating History: 8/1/21 : U/C; 1/14/25 : E/A; 7/6/26 : O/A

Price Target History: 6/23/21 : 41000; 7/28/22 : 43000; 7/29/23 : 49000; 7/28/24 : 53000; 1/14/25 : 67000; 10/17/25 : 62000; 7/6/26 : 95000; 8/13/26 : 105000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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SMC (6273.T) - As of 08/14/26 GMT in JPY
Industry : Factory Automation



Stock Rating History: 8/1/21 : E/C; 1/14/25 : U/A; 3/12/26 : E/A

Price Target History: 6/24/21 : 64000; 8/10/22 : 70000; 8/5/24 : 71000; 1/14/25 : 55000; 10/2/25 : 48000; 3/12/26 : 65000;
7/6/26 : 78000; 8/13/26 : 86000

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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INDUSTRY COVERAGE: Factory Automation

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/13/2026)
Lisa Jiang CKD (6407.T)	E (10/22/2024)	¥6,310

Daifuku (6383.T)	E (05/06/2022)	¥6,322
Harmonic Drive Systems (6324.T)	E (05/06/2022)	¥6,750
Misumi Group (9962.T)	O (06/20/2023)	¥3,739
Nabtesco (6268.T)	E (10/27/2023)	¥4,974
Omron (6645.T)	U (01/07/2025)	¥7,002
THK (6481.T)	O (03/07/2024)	¥7,443
Yaskawa Electric (6506.T)	O (04/01/2025)	¥5,480
Takeshi Kitaura		
Fanuc (6954.T)	E (07/06/2026)	¥6,505
Keyence (6861.T)	O (07/06/2026)	¥86,630
SMC (6273.T)	E (03/12/2026)	¥77,330

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.